

# Express-Oh!

Special, Private, Priority — A Practical How-To — v12

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# Express-Oh!

*Special · Private · Priority*

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**Do Not Hybridize.** This manual prepares equity-only matters. Do not append statutory damages claims, money damages counts, or jury demands to any document prepared under this framework. Mixing legal claims with an ex parte equity petition converts it into an ordinary civil lawsuit — named defendant, jury rights, law-side remedies. The equity posture collapses. File any statutory claims separately on the law side. This rule governs every prayer, every filing, every section of this manual.

**When opposing counsel recasts the bill as a law-side action — answer with the Notice of Variance.** See § 26b. The Notice of Variance is the standing defense to law-side recasting and must be on the practitioner’s desk before filing, ready to deploy the moment a respondent, clerk, or court treats the bill as a contract claim, debt collection matter, or damages action.

**Posture Note — Account Current, No Default (Canonical Worked Example).** The canonical worked example throughout this manual assumes the Petitioner is current on every obligation under the underlying arrangement and is not in arrears. The proceeding is occasioned by the trustee’s continuing non-performance of the four fiduciary duties after three notices and three silences — not by any failure on the Petitioner’s part. This posture (a) collapses the “consumer-credit dispute” recharacterization at the threshold, (b) sharpens Article III standing by removing any “but for the default” inquiry under *Spokeo*, and (c) inverts the substance-over-form closing in the Petitioner’s favor. Where the Petitioner is in fact in arrears, the equity posture remains available but the law-side recharacterization vector is harder to foreclose at intake — additional discipline is required.

**Procedural Floor — Sealed Chambers Intake, Article III Judge, No Magistrate Consent, Special Term.** Every filing under this framework is filed for chambers intake under seal — not for the public docket or PACER — and is directed to an Article III judge of the Court. Petitioner expressly does not consent to magistrate jurisdiction under 28 U.S.C. § 636(c). The forum is Special Term in chambers, not General Term on the open-court calendar. See § 24a for intake mechanics and § 25 for the cover-letter paragraphs.

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## PART I: FOUNDATION

### 1. Who This Manual Is For

**You are comfortable reading rules and local rules.** The guide gives doctrine and templates, not case-specific advice.

**You keep organized files.** Registered-mail receipts, return receipts, tracking printouts, dated copies of every instrument — each in its proper place. Equity proceeds on the record.

**You hold an actual instrument.** A statement, demand, payoff figure, or assignment from another party — something real to which this mechanism is directed.

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## 1a. What This Manual Does

**What this manual does:** Prepares a private equity record — the registered-mail exchanges, trust declaration, and three-notice sequence — then files a Bill in Equity seeking protective orders, accounting, and appointment of a successor trustee.

**What this manual does not do:** It does not seek money damages, statutory penalties, or a judgment at law. It does not enforce itself — the private record is evidence; the decree comes from the chancellor.

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## 1b. How to Use This Manual

A step-by-step guide to preparing a classical equity record and filing a Bill in Equity in federal Article III court or Tennessee chancery.

**This manual will teach you to place a record before a chancellor and ask one question: do you see the trust?**

That question — asked correctly, at the right time, with the right record — unlocks the machinery of a court of equity. Protective order. Equitable accounting. Successor trustee. Interlocutory decree of reconciliation. Final decree of settlement. Not because the chancellor creates the trust. Because the chancellor sees it.

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## 1c. Editorial Standard — The Equitable Disambiguator

**Rule.** Certain terms read both ways — equity-side and law-side. When the term could plausibly be heard in its law-side sense by a reader unfamiliar with classical equity, prefix it with *equitable* to lock the reader into the equity frame. This is a drafting discipline, not a doctrinal innovation; it preserves classical voice while preempting the law-side reading.

**Terms requiring the prefix when ambiguous in context:** settlement, accounting, discovery, relief, remedy, tracing, title, interest, lien, fraud, estoppel, subrogation, recoupment, defense. Prefix becomes *equitable settlement*, *equitable accounting*, *equitable discovery*, *equitable relief*, *equitable remedy*, *equitable tracing*, *equitable title*, *equitable interest*, *equitable lien*, *equitable fraud* (or *constructive fraud*), *equitable estoppel*, *equitable subrogation*, *equitable recoupment*, *equitable defense*.

**When the prefix is unnecessary.** If the surrounding diction already frames the term in equity — *settle the account*, *bill for an accounting*, *trustee*, *res*, *cestui que trust*, *conscience*, *decree* — the bare term carries equity by context. Likewise, canonical phrases stand without prefix: *adequate remedy at law*, *the inspection-accounting-settlement-closure four-duty phrase*, *legal title* vs. *equitable title* contrast pairs. Pomeroy § 1063 (equitable accounting); Pomeroy §§ 1044–1058 (equitable lien, equitable title, equitable interest); Gibson §§ 994–997 (settlement of the account); Pomeroy § 134 (no adequate remedy at law).

**Terms that need no prefix because they are unambiguously equity:** *res*, *conscience*, *chancellor*, *cestui que trust*, *decree*, *surcharge*, *disgorgement*, *laches*, *ne exeat*, *sequestration*, *bill in equity*, *prayer*, the interrogating part, *constructive trust ex maleficio*.

**Action item for editors.** Before adding any new paragraph, scan for the ambiguous terms above. If the surrounding sentence does not already lock the equity frame, add the prefix. If a future cite to Gibson or Pomeroy uses the prefixed form, mirror it.

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## 2. The Conscience Thesis

Equity acts upon the conscience of the party. Gibson, *Suits in Chancery* §§ 4–5, 8. The conscience is charged when a person receives notice concerning a definite thing, retains that thing, uses that thing, claims benefit from that thing, or refuses to answer concerning that thing after the confidence has been declared. Gibson § 88.

The mechanism — special deposit, trust declaration, three-notice sequence — creates a private equity record. That record is the foundation of a Bill in Equity. The bill invokes the court's conscience. The decree issues from the court. The private record does not enforce itself; it is evidence upon which the equitable decree is sought.

**Equity jurisdiction is separate and distinct.** The 1938 merger of law and equity unified procedure, not remedies. *Beacon Theatres, Inc. v. Westover*, 359 U.S. 500, 506–07 (1959); *Grupo Mexicano de Desarrollo, S.A. v. Alliance Bond Fund, Inc.*, 527 U.S. 308, 345–46 (1999).

If you seek money damages, statutory penalties, or a judgment at law, this manual is not your tool.

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## 3. The Classical Formula

**Notice + Res + Confidence + Retention + Benefit = Charged Conscience**

These five elements together charge conscience; charged conscience requires answer; refused answer draws remedy from equity.

- *Notice* — knowledge of the declared purpose
- *Res* — the definite thing upon which equity acts
- *Confidence* — the trust relation
- *Retention* — the conduct confirming the trustee office
- *Benefit* — the interest derived from the thing held

All five present: conscience charged, decree follows.

— Gibson, *Suits in Chancery* §§ 4–5, 28–31, 67; Pomeroy, *Equity Jurisprudence* §§ 134, 155

**The Res.** The res must be definite, identified, and delivered — because equity follows the thing and charges the conscience of the person who touches it, holds it, profits from it, or refuses to account for it. Where the res is not definite, equity has no subject upon which to act. The mechanism creates a res — the specific statement, demand, payoff figure, or assignment received from the recipient, assigned a PTLN, endorsed with the trust declaration, and returned by registered mail under the purposes of inspection, accounting, settlement, and closure. The recipient who retains, uses, profits from, or refuses to account for the res has charged his own conscience.

— Gibson, *Suits in Chancery* §§ 295–297; Pomeroy, *Equity Jurisprudence* §§ 1009–1012

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## 4. Equity Maxims

**Equity regards as done that which ought to be done.** Where the recipient ought to have returned the res, disclaimed the confidence, or accounted for the use, equity proceeds on the

failure. It does not wait for the party to perform. > Gibson, *Suits in Chancery* §§ 59, 67; Pomeroy, *Equity Jurisprudence* §§ 134, 155

**Equity looks to substance rather than form.** The recipient's chosen label — creditor, holder, servicer, assignee — does not control whether the conscience is charged. Conduct controls: did the recipient receive the res, retain it, use it, benefit from it, or refuse to account? If the conduct is present, the equity arises regardless of the label. > Gibson, *Suits in Chancery* §§ 43, 67; Pomeroy, *Equity Jurisprudence* §§ 378, 134

**Equity will not suffer a wrong without a remedy.** Where the res is retained, used, claimed, or concealed after notice and confidence, equity supplies accounting, restitution, injunction, constructive trust, delivery, or such other conscience-based remedy as the condition requires. Pomeroy §§ 134, 155.

**Equity regards the beneficiary as the true owner.** The trustee holds legal title; the beneficiary holds equitable title by nature. The two titles are severable. Gibson, *Suits in Chancery*, Maxim 7; Pomeroy, *Equity Jurisprudence* § 1044.

**Equity will not suffer a trust to fail for want of a trustee.** A reluctant, refusing, disclaiming, or vacant trustee does not extinguish the trust. The chancellor fills the seat. The duties run on. Pomeroy § 1086 (removal and appointment of trustees); Gibson § 5954 (court's power to appoint and remove trustees); Gibson § 8783 (Chancery Court will remove trustee who fails in duty).

**He who seeks equity must do equity.** The Petitioner identifies the res truthfully, states the purpose plainly, preserves the record faithfully, gives opportunity to return or disclaim, makes no false charge, claims no hidden advantage, and stands ready to accept a true accounting. Gibson §§ 59, 67.

**He who comes into equity must come with clean hands.** No man may invoke equity while concealing his own fraud, misdescription, or misuse of the res in the very matter where relief is sought. Gibson §§ 59, 67; Pomeroy §§ 397–398.

**Where equities are equal, the first in time prevails.** First perfected notice, first special deposit, first declared purpose, first unrebutted record. The *SPECIAL PRIVATE PRIORITY* envelope asserts precisely this. Pomeroy §§ 385–388.

**A trustee may not profit from the trust.** A trustee may not profit secretly, deny accounting, or convert custody into ownership. This rule applies whether the trust is express, implied, resulting, or constructive. Gibson §§ 994–997; Pomeroy §§ 1044, 1053.

**He who is silent when he ought to speak will not be heard when he ought to remain silent.** A party who has received the res, retained it, benefited from it, been named as trustee, been given opportunity to disclaim, and chosen silence — that party has made a choice. Equity records the choice. > “If one maintain silence when in conscience he ought to speak, equity will debar him from speaking when in conscience he ought to remain silent.” — Gibson, *Suits in Chancery* § 67

**Equity follows the thing into whose hands soever it passes.** Where the res is transferred or assigned, equity may follow it and charge the conscience of the new holder who received with notice of the declared purpose. The thing impressed with equity does not lose its character by change of form when conscience remains chargeable. Pomeroy § 1053; Gibson §§ 451–453.

**He who accepts the benefit must accept the burden.** A recipient who retains the res, uses it, claims advantage from it, or proceeds upon it after notice cannot in conscience deny the duty to account. > Gibson, *Suits in Chancery* §§ 67, 994; Pomeroy, *Equity Jurisprudence* §§ 1044, 1053

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## 5. The Construct — Three Words, Three Doctrines

*Special. Private. Priority.*

Three separate doctrinal acts, stacked on an envelope and inside a letter. Together they establish jurisdiction, define the relation, and assert first-in-time superiority before the recipient opens the body.

**Special — Equity Jurisdiction.** *Special* signals that this is an equity matter, not a law matter. The word tells the recipient — and any court that later reviews the record — that this is not a consumer dispute, not a debt collection matter, not a civil action at law. It is a proceeding in equity. When you write *SPECIAL* on the envelope, you assert the jurisdictional character of the proceeding before anyone opens the body. Gibson § 28; Pomeroy §§ 129–144.

**Private — Forum and the Relation.** *Private* signals the nature of the relation and the correct forum. This is not a public adjudication. It is an equity proceeding between trustee and beneficiary — a fiduciary relation that equity administers in chambers, not in open court. When you write *PRIVATE* on the envelope, you are not requesting secrecy. You are stating the forum: this matter belongs in equity, not in the adversary docket. Gibson §§ 770–776; Drewry, *Equity Pleading*; FRCP 77(b).

**Priority — First in Time.** *Priority* signals first-in-time superiority. The trust relation, once formed by delivery and retention, has temporal priority over any subsequent claim, lien, or encumbrance placed on the res by the trustee. When you write *PRIORITY* on the envelope, you assert the temporal primacy of the trust relation — this trust was declared before any subsequent claim arose, and equity recognizes it as first in time. Pomeroy §§ 385–388.

**Where the Three Words Appear — and Why.** The three-word stack runs through every document in the equity sequence:

- **The envelope** — first notice; the recipient sees it before opening; it establishes that what follows is a classified equity matter
- **The cover letter** — marks the packet as a Special Private Priority communication
- **The acceptance/declaration instrument** — marks the res as it returns
- **The three notices** — each is a Special Private Priority call upon the trustee; the label distinguishes them from debt validation requests or consumer complaints
- **The Bill in Equity** — caption or header bearing the three words, distinguishing the proceeding from an ordinary civil action

The stack is a thread. Every document in the chain carries the same signal — this is equity, this is private, this has priority.

**No Magic Words.** No magic word creates equity. Equity is created by the relation of conscience to fact. *Special*, *Private*, and *Priority* serve as notice, classification, and election; the operative equity arises from the definite res, the declared purpose, the confidence, the retention, the use, the benefit, and the refusal to account.

**No Notarization Required.** Equity existed before modern notarial habits and proceeds upon conscience, oath, record, witness, delivery, conduct, custody, benefit, and answer. A notarization may evidence an act, but it does not create the conscience of the recipient, the res, the confidence, or the duty to account.

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## PART II: THE TRUST FRAMEWORK

### 6. Trust Anatomy

The trust instrument satisfies every element of a valid express trust. The three certainties are present on the four corners:

**Certainty of Intention.** *“For the express purposes of inspection, accounting, settlement, closure, and release of all collateral and encumbrances”* — purpose stated expressly. Five purposes appear in the instrument. No implication, no constructive imputation.

**Certainty of Subject Matter.** *“Same subject matter on special deposit”* — the res is the precise instrument the recipient tendered. Not a class, not a general claim — the specific documentary instrument received.

**Certainty of Object.** *“For the benefit of [insert beneficiary here]”* — the cestui que trust is named. The beneficiary holds the equitable interest. The designation is complete on the face of the instrument.

#### Trust Roles — All Present.

- **Settlor** — you, delivering the res on special deposit with intent expressly declared
- **Trustee** — the recipient, appointed by delivery and confirmed by retention without disclaimer; when the trustee’s office becomes vacant, chancery fills it
- **Corpus** — the documentary res the recipient tendered, returned under the instrument
- **Purposes** — inspection, accounting, settlement, closure, and release of all collateral and encumbrances
- **Duration** — until all five purposes are accomplished
- **Beneficiary** — named in the blank, holding the equitable interest by declaration

**Why “Special Deposit” Does Double Work.** When a depository receives property on special deposit for stated purposes, the depository holds custody under purpose — no title. Misuse or commingling is breach. The depositor holds an equitable interest in the res. By writing “on special deposit,” two structures are layered: special deposit and express trust. If one is challenged, the other applies. Gibson, *Suits in Chancery* §§ 451–453; Story, *Equity Jurisprudence* § 453.

#### The Doctrine Behind the Instrument.

- The trust exists when the three certainties exist. Intention, subject matter, and beneficiary on the four corners of a signed and delivered instrument — that is a trust. No court creates it. The chancellor recognizes what is already there. Pomeroy §§ 1009, 1012; Van Zile § 438 (creation or declaration of trust).
- Delivery vests the office; retention without disclaimer confirms it. Pomeroy §§ 1086–1087; Gibson § 5954.
- Equity will not suffer a trust to fail for want of a trustee. Pomeroy § 1086; Gibson § 5954.
- Where property is obtained by abuse of confidence, equity imposes a trust. Pomeroy § 1053.

#### Declaration of Trust — Template Language (for the indenture, not the public bill).

I, [NAME], of [CITY, STATE], declare that I hold [DESCRIPTION OF THE RES] in trust for the benefit of [BENEFICIARY], pursuant to the terms set forth herein. The trust is established under the laws of [STATE / equity’s inherent jurisdiction]. The duties of inspection, accounting, settlement, and closure are acknowledged and accepted.



Settlor: \_\_\_\_\_ Trustee: \_\_\_\_\_ Beneficiary: \_\_\_\_\_  
Date: \_\_\_\_\_

Trust elements recognized at common law and in equity, present in this declaration:

- Settlor's declaration of trust
- Identified res (the trust property or interest)
- Trustee's acceptance — implied by conduct of retention without disclaimer, or express by signature
- Beneficiary's interest (equitable title)
- Trustee's duty to manage for the beneficiary's benefit

**Apparent trustee.** One who holds title to property and appears to be entitled to manage it — even absent an express declaration — may be treated as a trustee by conduct when the circumstances give rise to a duty of accounting. This is the doctrinal hook by which the recipient of a returned res, who retains without disclaimer, becomes the trustee in fact.

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## 7. Special Deposit vs. General Deposit

The deposit doctrine cuts along a single line. A **general deposit** creates a debtor-creditor relation: title passes to the holder, the depositor becomes a creditor for the amount, and the remedy lies at law. A **special deposit** creates a trust relation: title stays with the depositor, the holder takes custody for the declared purpose alone, the depositor keeps the equitable interest, and equity has the matter.

The form of words at delivery controls which side of the line the deposit lands on. Gibson, *Suits in Chancery* §§ 451–453; Story, *Equity Jurisprudence* § 453; Van Zile § 438 (creation or declaration of trust); Pomeroy, *Equity Jurisprudence* § 1053.

The Tennessee Supreme Court confirmed the doctrine: a bill charging the holder of a special deposit as trustee for breach of trust is “plainly one of equitable cognizance.” *Bank of Memphis v. Walker*, 88 Tenn. 269 (1889). A special deposit is money or property entrusted to a holder not to be used but kept safely and specifically returned. *Catlin v. Savings Bank of New Haven* (Conn.).

The clause on this instrument — “*return delivery same subject matter on special deposit ... for the express purposes of inspection, accounting, settlement, closure, and release of all collateral and encumbrances*” — fixes the deposit as special at delivery. Purpose stated; title not transferred; equitable interest remains with the depositor.

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## 8. When the Trust Forms

The trust is declared the moment you sign and dispatch the instrument by registered mail. Appointment of the trustee occurs by delivery; acceptance is confirmed by retention without disclaimer. Where delivery is refused, the refusal is itself an affirmative act of notice — the trust was declared on dispatch, and refusal preserves the record of breach rather than defeating formation. The four duties run from the date of attempted delivery in either posture.

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### § 8a. The Indenture vs. the Trust Relation — Chambers and Public Record

Two distinct instruments operate in this framework. Conflating them is the most common error in equity pleading.

**The Trust Relation.** This is the functional relationship between trustee and beneficiary — defined by delivery, retention, declared purpose, and named beneficiary. It arises from conduct. It is pleadable. It appears in the Bill in Equity, the exhibits, the three notices, and every public record the Petitioner creates. The trust relation is the subject matter of the equity proceeding; it is what the chancellor inspects when asked “do you see the trust?”

**The Trust Indenture.** This is the rules document — the instrument that governs administration of the trust: the specific duties, the fiduciary standards, the procedural mechanics of inspection, accounting, settlement, and closure, the remedial provisions, the successor-trustee provisions. It is a private governance instrument. It is not a pleading. It is not evidence of the trust relation — the trust relation exists independently of the indenture, created by the conduct of delivery and retention. The indenture governs *how* the trustee administers, not *whether* the trust exists.

**Why the Distinction Matters.** A bill in equity that attaches the indenture as an exhibit, or that frames the trust relation through the indenture’s terms, conflates the two. The chancellor inspects the trust relation — the facts of delivery, retention, purpose, and beneficiary. The indenture is a private document that governs the trustee’s administration of a relation the indenture did not create. Its proper place is chambers, under seal, not on the public docket.

**Chambers Handling.** The trust indenture is tendered to the chancellor by leave — when the court inquires into the fiduciary standards governing the trustee’s administration, or when the Petitioner seeks an order directing compliance with the indenture’s specific terms. It is never filed as an exhibit to the public Bill in Equity. The trust relation, not the indenture, is what the public filing establishes. Gibson §§ 770–776 (protecting private fiduciary instruments from public inspection in appropriate proceedings); Drewry, *Equity Pleading* (bills for discovery and account distinguish between what is filed publicly and what is produced in chambers).

**Rule:** The trust relation goes on the public record. The indenture stays in chambers under seal until the court calls for it.

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## 9. Trust by Conduct — The Four Factual Elements

The trust relation does not exist merely because the sender declares it. Equity requires facts. The bill must plead the factual conduct from which the trust relation follows as a conclusion of equity.

### Four factual elements must be pleaded and proved:

1. **Delivery of the res** — the Petitioner delivered a specific, identifiable instrument by registered mail. Plead: date of delivery, tracking number, proof of receipt.
2. **Retention without disclaimer** — the recipient received and held the res without returning any written disavowal. Plead: absence of any disavowal, continuing assertion of rights in the underlying obligation.
3. **Declared purposes** — the instrument stated, in explicit language, the purposes for which the res is held. Plead: the exact verbatim language, attached as an exhibit.
4. **Named beneficiary** — the instrument identified by name the person in whom equitable title vests. Plead: the exact name as written, and the factual basis for that person’s equitable interest.

Once these four elements are established, the trust relation follows as a conclusion of equity. The recipient is trustee because equity treats one who receives property for declared purposes and retains it without disclaimer as occupying the fiduciary office — not because the Petitioner called them one. Pomeroy §§ 1086–1087; Gibson § 5954.

The trust relation is created by conduct, not by caption. Delivery, retention, declared purpose, and named beneficiary — these facts, taken together, give rise to the relation.

**Trust-by-Conduct Self-Audit.** In your Facts section, you must see:

- (1) Definite res delivered — date and registered-mail tracking number; the specific instrument identified with particularity
- (2) Retention without disclaimer — recipient held the res for a stated period without returning any written disavowal; silence documented
- (3) Declared purposes stated verbatim — exact language of inspection, accounting, settlement, and closure; attached as exhibit
- (4) Named beneficiary with basis of equitable interest — the exact name appears; the factual basis for equitable title stated

If any element is missing from your draft, do not file. Complete the equity record first.

**Rule 11 Discipline.** Every factual averment must be backed by a dated exhibit. Every citation to authority must be to a real source — Gibson, Pomeroy, Van Zile, Drewry, or a controlling case. No speculative averments. No assertions without documentation. No fringe material from Appendix Z. Opposing counsel who serves a Rule 11 safe-harbor letter (21 days to withdraw or amend) has one shot before a sanctions motion. The practitioner’s defense is the record: every averment is documented, every citation is real, every exhibit is authenticated. This discipline — exhibit per averment, authority per proposition — is how the practitioner survives the safe-harbor letter and keeps the bill alive.

**Rule 9(b) Particularity.** Where the bill prays for constructive trust *ex maleficio* — which charges abuse of confidence and retention for personal benefit — federal courts apply FRCP 9(b) particularity. Each averment must state who did what, when, where, and how: the specific date of receipt, the specific instrument received, the specific retention without disclaimer, the specific use or profit. The four-element self-audit above satisfies this discipline when each element carries its date, tracking number, and exhibit citation. Conclusory averments (“the trustee committed fraud”) will not survive a 9(b) motion. Fact-specific averments (“on [date], [Respondent] received the res described as [instrument], registered-mail tracking [number], and has retained the same without disclaimer for [period]”) will.

**Pleading the Trust Relation.** Draft in two parts. First, the facts — aver the delivery, the retention, the declared purposes, and the named beneficiary, each with specific dates, document references, and exhibits. Second, the conclusion — “based on the foregoing facts, the recipient holds the res as trustee for the beneficiary, with the fiduciary duties of inspection, accounting, settlement, and closure, and equity will not suffer the trust to fail for want of a trustee.” Both are required. A bill asserting the trust relation without pleading the underlying facts will be dismissed. A bill pleading facts without drawing the conclusion will be dismissed. Both are required.

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## 10. The Beneficiary

**The Core Rule.** The beneficiary is the person in whom equitable title vests — whose will and substance created the trust. Equity regards the beneficiary as the true owner. The trustee holds legal title; the beneficiary holds equitable title by nature. The two titles are severable.

## “By Nature” — Three Meanings, Each Load-Bearing.

- Equitable title arises from the trust relation itself — not from a grant by the trustee, not from a transfer document. The moment the trust is declared and the res impressed, equitable title vests in the beneficiary by the nature of what a trust *is*.
- It is the natural, substantive ownership — equity looks at what a thing *is*, not at the surface label. Legal title is form; equitable title is substance.
- It cannot be defeated by the trustee’s conduct or omission — because equitable title arises by nature and not by the trustee’s grace, the trustee’s refusal, silence, or disappearance does not extinguish it. The title survives the trustee. This is why chancery will not suffer a trust to fail for want of a trustee.

## Common Designations.

- *Yourself* — if you are the person whose obligation is recorded, you are the equitable owner of the res. “For the benefit of [your full legal name]” is valid.
- *The trust entity* — use the full trust name from the trust instrument.
- *Petitioner as trustee for a named person* — if acting for someone who cannot manage their own affairs, name the protected party and note your trustee status.

**What Not to Do.** Do not name a party who has no equitable stake — a court will strike the instrument. Do not leave the blank empty — a trust with an unnamed beneficiary is void for uncertainty of object.

**The Equitable Origin.** Equity recognizes the beneficiary in whom the equitable interest already lies. Equity does not manufacture beneficiaries by self-designation. The stake must rest on a real origin: a resulting trust, a constructive trust, an express trust funded with advanced value, or a fiduciary relation already running. The classical pattern is the resulting trust — where one person’s substance passes into property, equity raises the trust in favor of the one whose substance funded the corpus. Pomeroy, *Equity Jurisprudence* §§ 1031–1043. Plead the facts from which the interest arises. The chancellor recognizes title only on the ground the bill supplies.

**Capacity Before the Chancellor.** The Petitioner appears before the chancellor as **Beneficiary**. The intermediate acts — accepting as Grantee, declaring as Grantor/Settlor, delivering on special deposit — are the mechanism that creates the trust. Once the trust is established, the Petitioner’s capacity is Beneficiary. The beneficiary holds equitable title by nature. Plead the factual basis for that capacity in the same paragraph that declares it: delivery of value, advancement of substance, position on the underlying obligation. No separate court order, name change, or administrative declaration gates the equitable capacity.

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## PART III: STAGE ONE — PRIVATE PRESENTMENT

### 11. Two Phases — Private Record and Court Enforcement

The equity practitioner must distinguish two separate stages. Confusing them produces defective filings.

**Stage One — Private Equity Presentment.** What you do before any court is involved:

- **Acceptance as Grantee** — receive the instrument and acknowledge receipt for purposes of reconciliation
- **Trust declaration** — declare the trust purpose on the face of the instrument, naming the beneficiary and the four duties

- **Special deposit return** — deliver the impressed res back by registered mail, creating a timestamped record of delivery
- **Three notices** — call upon the trustee to perform and mark each period of non-performance, giving the trustee opportunity to disclaim

Stage One creates the private equity record — registered mail receipts, return receipts, tracking records, retained copies. The record is proof of conduct, declarations, calls upon the trustee, and silences. It is not a decree. It is not an order. It is evidence.

**Stage Two — Federal Bill in Equity.** What you file when Stage One has produced a record but no compliance:

- **Verified pleading** — every factual averment made oath to
- **Exhibits** — the instrument, the three notices, the registered mail receipts, the return receipts
- **Jurisdictional statement** — Article III judicial power, inherent equitable jurisdiction, inadequate remedy at law, Special Term / chambers practice under FRCP 77(b)
- **Prayer for relief** — protective order, appointment of successor trustee, equitable accounting, interlocutory decree of reconciliation, final decree of settlement

The private presentment creates the record; the Bill in Equity invokes the court's conscience. The record is not the decree. The record is the evidence upon which the decree is requested.

A Petitioner who treats the private presentment as self-enforcing finds no court has acted. A Petitioner who files a Bill in Equity without the private record — no exhibits, no registered-mail proof, no timeline — draws dismissal. Stage One creates the record. Stage Two invokes the court.

## 12. Master Workflow

Read this once before beginning. Return to it as you work through each stage.

### Stage One — Private Equity Record

1. **Pull the instrument.** Confirm you hold a real statement, demand, payoff figure, or assignment from the recipient.
2. **Photocopy the instrument twice.** Before marking anything: one pristine photocopy of the instrument as it arrived (proves what the recipient sent, untouched). Mark the original. Then photocopy the marked original. File both copies — pristine and marked — in the equity record. The marked original goes back to the recipient; your two photocopies stay.
3. **Address the envelope.** Print *SPECIAL PRIVATE PRIORITY* between the return address and recipient address. Use Registered Mail + Return Receipt.
4. **Write the acceptance and declaration on the instrument.** Copy the clause verbatim. Fill in the beneficiary's full legal name. Sign as Grantee, Grantor/Settlor. Add *Without Prejudice — All Rights Reserved*. Date in ink.
5. **Assign the Private Trust Ledger Number (PTLN).** At acceptance, assign: *PTLN-YYYY-MMDD-XXXX-NN* — year, date, your initials, sequential entry number. Annotate every document in the equity sequence with this number. **This is the capture:** the commercial account number is now crosswalked to the PTLN — the instrument is identified by its ledger number, not the account it arrived on. No commercial account number appears in any document after acceptance.
6. **Name the beneficiary correctly.** The Petitioner is never the trustee — the Petitioner holds Grantee, Grantor/Settlor, or Beneficiary status. The trustee is the recipient who holds the res by retention.

7. **Assemble the return packet.** Original instrument on top (res goes back, never stays), your signed acceptance/declaration, cover letter with tracking number. Seal the *SPECIAL PRIVATE PRIORITY* envelope.
  8. **Mail at the USPS counter.** Registered Mail + Return Receipt. Keep the white tracking receipt. File the return receipt when it returns.
  9. **File your three registered-mail items.** Tracking receipt, return receipt, and your retained copy — all three in the same file, marked with the tracking number.
  10. **Send Notice One.** After delivery confirms: call upon the trustee to render a full equitable accounting. Registered mail, return receipt. File the receipt.
  11. **Send Notice Two.** 14–30 days after Notice One with no response. Registered mail. File the receipt.
  12. **Send Notice Three.** 14–30 days after Notice Two with no response. Registered mail. File the receipt.
- 

### 13. Step One: The Instrument and Envelope

Before the letter, the envelope does work. Print or write three words in the center of the return address area:

From: [Your Name]  
SPECIAL    PRIVATE    PRIORITY  
To: [Recipient's Name / Entity]

The words must be legible — typewriter, label maker, or clean block handwriting.

Use the recipient's full legal name as it appears on the instrument.

#### Step One Checklist

- ☐ *SPECIAL PRIVATE PRIORITY* printed between return and recipient address blocks
  - ☐ Legible typewriter, label-maker, or clean block handwriting — no cursive
  - ☐ At USPS counter: Registered Mail + Return Receipt
  - ☐ Keep the registered mail receipt (white slip with tracking number) — staple to file copy
  - ☐ When return receipt returns, file it with receipt and retained copy of the instrument
  - ☐ Save or print USPS tracking report once delivery shows complete
- 

### 14. Step Two: Acceptance and Declaration

Write the acceptance, declaration, and return in one clean instrument. Use this language verbatim:

“I accept as Grantee and return delivery same subject matter on special deposit as Grantor/Settlor, for the express purposes of inspection, accounting, settlement, closure, and release of all collateral and encumbrances, for the benefit of [insert beneficiary here].”

By: \_\_\_\_\_, Grantee, Grantor/Settlor. Without Prejudice — All Rights Reserved.

Accept as Grantee. Declare the special deposit as Grantor/Settlor. Return the res. One sentence, three acts.

Write directly on the original statement. The recipient's instrument becomes the trust res, marked with your acceptance, declaration, and return in a single hand. The instrument and the declaration are the same piece of paper — that is what makes the res travel back impressed with the trust.

“*Without Prejudice*” is the chancery master's reservation — no admission, no waiver, every equitable right remains intact. “*All Rights Reserved*” creates a written record that no right was surrendered. Found throughout Daniell's *Chancery Practice* and English equity records.

### Step Two Checklist

- [ ] Copy the verbatim clause — letter for letter, no paraphrasing
  - [ ] Write the clause directly on the face of the original statement
  - [ ] Insert the beneficiary's full legal name into the bracketed blank
  - [ ] Assign the PTLN: *PTLN-YYYY-MMDD-XXXX-NN* — annotate the instrument and every subsequent document
  - [ ] Sign exactly: *By: [Your Full Legal Name], Grantee, Grantor/Settlor.*
  - [ ] Add: *Without Prejudice — All Rights Reserved* directly under the signature
  - [ ] Date next to signature, in blue ink
  - [ ] Photocopy pristine instrument before marking; mark original; photocopy marked original; both copies stay in file
- 

## 15. Step Three: Trust Purposes and Beneficiary

**The Four Trust Duties.** Each is a separate fiduciary duty cognizable in equity:

- **Duty of Inspection** — examine, identify, and hold the res segregated for its declared purpose; produce all underlying records, source documents, and chain of title or assignment, held upon oath. Gibson § 994; Pomeroy § 1044.
- **Duty of Accounting** — keep accurate records and render a full accounting upon the beneficiary's call; formal equitable accounting of all transactions, credits, payments, charges, offsets, and adjustments, rendered upon oath, from inception to present. Gibson § 994; Story § 453.
- **Duty of Settlement / Reconciliation** — apply the res to settle and close the obligation as declared; reconciliation of the true balance, mutual accounting between parties, determination of what, if anything, remains owed. Pomeroy § 1044; Gibson § 994.
- **Duty of Closure / Release** — settle and close the matter, remove collateral and encumbrances, issue appropriate releases once settlement is complete. Pomeroy § 1044; Van Zile § 441 (trustee and cestui que trust may maintain a proceeding for administration of the trust).

### Step Three Checklist — Choose the Beneficiary

- **Q1 — Are you the person whose name appears on the underlying obligation?** If yes, name yourself. Stop.
  - **Q2 — Are you acting as trustee for a minor, an estate, or a person under disability?** If yes, name the protected party and note your trustee status.
  - **Q3 — If both are No:** default to yourself as the equitable owner of the obligation recorded on the instrument.
-

## 16. Step Four: Return by Special Deposit

The instrument returns the res in the same sentence that accepts and declares it. “*I accept as Grantee and return delivery*” — one act. You are not keeping the res. The res travels back with the trust impressed upon it.

- **Grantee** — you received the instrument; you hold the right to declare what happens to it next
- **Grantor** — you declared the trust purpose and named the beneficiary; you created the equitable relation by instrument
- **Settlor** — you delivered the res back on special deposit; you funded the trust by returning the corpus impressed with its declared purpose

**Retain your copies.** The original instrument goes back to the recipient — the res never stays. You keep four things: a copy of the pristine instrument, a copy of the marked-up instrument, the registered mail receipt, and the return receipt.

**Two Addresses, Two Purposes.** The res goes back to two places:

1. **The return address on the instrument** — the address the recipient used to send it to you. Delivery to the origin creates the trust relation.
2. **The registered agent** for the entity — available through the state’s business entity search. Delivery to the registered agent is constructive notice. Do not file anything with the Secretary of State or any government registry; public filing destroys the private character of the proceeding.

Both by registered mail, both with return receipts. File both tracking numbers and both return receipts.

### Step Four Checklist — Packet Assembly and Pre-Mail Confirmation

- [ ] The **original** instrument in the packet — the res goes back, it never stays
- [ ] Acceptance / declaration / return instrument, signed and dated, on top
- [ ] Cover letter referencing the registered mail tracking number and instrument identifiers
- [ ] Duplicate copies of every page made and retained
- [ ] Registered mail tracking number written on your retained copy
- [ ] Envelope sealed; *SPECIAL PRIVATE PRIORITY* visible on front
- [ ] Recipient’s full legal name matches the instrument exactly — no abbreviations
- [ ] Acceptance/return language copied verbatim and fully filled in — no empty brackets
- [ ] At USPS counter: Registered Mail + Return Receipt all selected

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## 17. The Three Notices

The instrument establishes the trust. The three notices are the calling sequence — give the trustee the opportunity to perform, mark the moments of non-performance, and convert silence into the equitable admission on which the chancellor decrees. Each notice is sent by registered mail, return receipt requested.

The three notices exist to convert silence into an equitable admission. They are the evidence of non-performance that the chancellor inspects when asked “do you see the trust?” Their full doctrinal effect is stated at *Section 25* and at *The One Question*.

Each subsequent notice encloses photocopies of the return receipts and registered mail receipts from every prior notice in the sequence. This is not repetition — it is the equitable method of



closing the loop. The trustee who receives Notice Three holds in hand proof that they received Notices One and Two. “I never got that” is no longer a defensible position. Classical chancery courts proceeded on the whole record; each notice carrying prior proof serves the same principle — the chancellor sees a closed loop of delivery, call, and silence.

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## **18. Notice One — Call to Inspection and Accounting**

**When:** After the return receipt returns or tracking shows delivered.

**What it does:** Gives the trustee the first opportunity to perform. Creates the first record of the beneficiary’s call upon the trustee. If the trustee responds, the trust is being administered. If the trustee is silent, the silence becomes the first mark of non-performance.

### **Notice One — Model Core Paragraph**

The trustee now holds the instrument returned on special deposit, impressed with trust for the benefit of [Beneficiary Name], with declared purposes of inspection, accounting, settlement, and closure. The trust relation arose upon delivery of the res by registered mail on [Date], tracking no. [Tracking], and the trustee’s retention without disclaimer.

The beneficiary calls upon the trustee to perform the four duties declared in the instrument:

1. Confirm receipt of this notice and acknowledge the trust relation arising from the instrument returned on special deposit.
2. Produce any documentation or information required to discharge the duties of inspection, accounting, settlement, and closure — the beneficiary stands ready to supply what is needed.
3. Give notice in writing of any impediment to timely performance — equity does not penalize the trustee who communicates; it records the trustee who remains silent.
4. Render a full accounting upon oath of all transactions, credits, charges, offsets, and adjustments touching the res from inception to the date of this notice.

This call is directed to the instrument dated [Date], PTLN [PTLN], returned to the trustee by registered mail tracking no. [Tracking]. The trustee is called upon to respond within [X] days from the date of delivery.

Record of presentment: United States Registered Mail, Return Receipt requested, tracking no. [Tracking]. Delivery confirmation and return receipt on file.

Enclosures: (1) Copy of registered mail receipt from the return of the instrument on special deposit; (2) Copy of return receipt confirming delivery; (3) Copy of the trust endorsement instrument.

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## **19. Notice Two — Non-Performance and Continuing Obligation**

**When:** After a reasonable period passes with no response to Notice One — typically 14 to 30 days.

**What it does:** Converts the first silence into an admitted non-performance. Gives the trustee a second opportunity with the consequence stated. A response after Notice Two shows the trustee

performed only after a second call — not good faith administration. Continued silence is the second mark.

### **Notice Two — Model Core Paragraph**

Notice One was delivered to the trustee on [Date], tracking no. [Tracking]. The four duties of inspection, accounting, settlement, and closure were called for. No response has been received. The trust record reflects the first mark of non-performance.

The beneficiary addresses the trustee a second time. The trust relation stands. The res remains in the trustee's hands. The duty to account has not diminished with the passage of time — it has accrued. The beneficiary calls upon the trustee a second time:

1. Acknowledge receipt of the instrument returned on special deposit and the call made in Notice One.
2. Disclose any impediment to performance — the beneficiary will accommodate what conscience permits.
3. Give written notice if additional time is required — the record will reflect the trustee's communication.
4. Render the full accounting upon oath called for in Notice One.

Silence in equity operates as acquiescence to the trust relation and as admission of the non-performance the record reflects. The trustee who remains silent a second time leaves the beneficiary no course but the court. The trustee is called upon to respond within [X] days from the date of delivery.

Record of presentment: United States Registered Mail, Return Receipt requested, tracking no. [Tracking]. Delivery confirmation and return receipt on file.

Enclosures: (1) Copy of Notice One registered mail receipt; (2) Copy of Notice One return receipt showing delivery; (3) Copy of the trust endorsement instrument enclosed with Notice One.

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## **20. Notice Three — Final Notice Before Filing the Bill**

**When:** After a reasonable period passes with no response to Notice Two — typically 14 to 30 days.

**What it does:** The third notice is the door closing. Three calls, three silences — the equity record is complete. The chancellor reading the bill sees that the beneficiary gave the trustee every opportunity, and the trustee chose non-performance three times. Three notices together constitute the equitable admission on which the court decrees.

### **Notice Three — Model Core Paragraph**

The trustee has received two notices. No response has come. The first silence recorded the trustee's failure to account. The second silence confirmed it. The equity record stands: instrument delivered, trust declared, res retained, duties stated, calls made twice, silence given twice.

The trustee holds the res on special deposit. The four duties — inspection, accounting, settlement, and closure — have not been performed. The beneficiary, for

whose interest the trust was declared, remains without the accounting that conscience requires.

The trustee is given one final opportunity to perform:

1. Declare whether the trustee intends to perform the duties of inspection, accounting, settlement, and closure.
2. Disclose any question or impediment that stands between the trustee and performance.
3. Give notice in writing if additional time is required.
4. Render the full accounting upon oath.

Should the trustee fail to respond in writing within [X] days of delivery, the beneficiary will present a Bill in Equity to a court of equity competent to act, praying for a protective order over the res, appointment of a successor trustee, and a decree of equitable accounting. The equity record is complete. The bill will follow.

Record of presentment: United States Registered Mail, Return Receipt requested, tracking no. [Tracking]. Delivery confirmation and return receipt on file.

Enclosures: (1) Copies of Notice One and Notice Two registered mail receipts; (2) Copies of Notice One and Notice Two return receipts showing delivery; (3) Copies of the trust endorsement instruments enclosed with Notices One and Two.

This is the final notice before the bill is presented.

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## 21. What the Three Notices Produce

- **The instrument** — trust declared, res impressed, trustee appointed by delivery
- **Notice One** — first call; first opportunity to perform; first mark of silence
- **Notice Two** — second call; consequence stated; second mark of silence
- **Notice Three** — final call; judicial relief noticed; third mark of silence
- **Three registered mail receipts and three return receipts** — proof of service for each call

When the bill is filed, the Petitioner attaches the instrument, the three notices, and proof of service. The chancellor sees a beneficiary who gave the trustee every opportunity and a trustee who chose silence three times.

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## PART IV: STAGE TWO — COURT ENFORCEMENT

### 22. The Federal Equity Jurisdictional Doorway

Before any court hears a Bill in Equity, the jurisdictional doorway must be open.

**Article III Judicial Power.** The judicial power of the United States extends to all cases in law and equity arising under the Constitution. U.S. Const. art. III, § 2. The Equity Act of 1789 granted federal courts the power to administer equity according to the principles of the High Court of Chancery. *Grupo Mexicano*, 527 U.S. at 345–46; *Princess Lida of Thurn and Taxis v. Thompson*, 305 U.S. 456, 465 (1939).

**Law/Equity Distinction Survives Merger.** FRCP 2 merged procedure, not substance. The distinction between legal and equitable claims survives for purposes of remedies, jury rights, and

the adequacy-of-remedy-at-law gate. *Beacon Theatres*, 359 U.S. at 506–07; *Dairy Queen, Inc. v. Wood*, 369 U.S. 469, 472–73 (1962).

**Case-or-Controversy Requirement.** In equity, the injury is the peril to the res and the inability to obtain the four declared duties without court intervention. *Lujan v. Defenders of Wildlife*, 504 U.S. 555, 560 (1992).

**Subject-Matter Jurisdiction.** The court’s equity jurisdiction is inherent in the judicial function under Article III, Section 2 — not derived from statute. Federal courts have always possessed the equitable powers of the High Court of Chancery. *Grupo Mexicano*, 527 U.S. at 345–46. 28 U.S.C. § 1331 appears on the civil cover sheet for procedural compliance; equity jurisdiction exists independently of it.

Equity is not invoked by label, word stack, or private declaration alone. Equity is invoked when the bill places a definite res, a definite trust relation, a definite fiduciary duty, a definite breach, and a definite inadequacy of remedy at law before a court competent to act.

### **Article III Judicial Power — embedded reference for the bill.**

Article III, § 1 of the United States Constitution vests the judicial power of the United States in one Supreme Court and in such inferior courts as Congress may ordain and establish. The judicial power extends to enumerated categories of cases and controversies. The categories most relevant to a Bill in Equity for private trust administration are:

- Cases arising under the Constitution and laws of the United States
- Controversies between citizens of different states
- Controversies between a state or its citizens and foreign states, citizens, or subjects

**Federal Question Jurisdiction (28 U.S.C. § 1331).** Any civil action arising under the Constitution or laws of the United States is cognizable in federal district court. This is the procedural hook on the JS-44 cover sheet — not the substantive basis for the court’s equity jurisdiction.

**Equitable Standing — Less Demanding Than Law.** In equity, the standing requirement is less demanding than at law. A party who holds an equitable interest — a beneficiary under a trust, a secured creditor under a security agreement, a party to whom a fiduciary duty is owed — may seek equitable relief without satisfying the full constitutional injury-in-fact framework that governs damages claims at law. The injury in equity is the peril to the res and the inability to obtain the four declared duties without court intervention. *Lujan v. Defenders of Wildlife*, 504 U.S. 555, 560 (1992) (general framework); equitable standing recognized in chancery practice from the earliest cases.

### **The Three Constitutional Standing Requirements (cited only where the chancellor calls for the law-side framework):**

1. **Injury in fact** — a concrete and particularized harm to a legally protected interest
2. **Causation** — a fairly traceable connection between the conduct complained of and the injury
3. **Redressability** — a likelihood that the requested relief will remedy the injury

In equity, all three are satisfied by the trust relation itself: the beneficiary’s equitable title is the protected interest, the trustee’s non-performance is the conduct, and the protective order with successor-trustee appointment is the redress.

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## 23. Forum Selection — Federal Equity and Tennessee Chancery

**Role labels:** *Petitioner* is the party who declared the trust, named the beneficiary, and returned the res — appearing before the court of equity seeking its protective jurisdiction. No respondent is named; the trustee is vacant in fact.

The primary posture is ex parte equity — no respondent, trustee vacant — and that goes to federal court on the miscellaneous docket. Tennessee chancery is the alternative when the res is held within the state or the beneficiary resides in Tennessee.

**Federal Equity — Article III.** Federal district courts retain equity jurisdiction under Article III. Two cases anchor the doctrine: *Grupo Mexicano* (federal courts inherit the equitable powers of the High Court of Chancery); *Beacon Theatres* (the substantive law/equity distinction survives merger). Equity pleads maxims, not statutes. The bill speaks in equity's voice — three certainties on the four corners, equitable title by nature, the maxim that equity will not suffer a trust to fail. Procedural rules — FRCP 53 for accounting through a special master, FRCP 65 for protective orders, FRCP 77(b) for chambers practice — mechanize equity; they do not replace it.

**Rule — Do Not Hybridize.** The inherent jurisdiction framing in this section is for the practitioner's orientation only. It does not appear in the bill itself. The bill invokes the court's equity jurisdiction directly, citing the treatise masters (Gibson, Pomeroy) for the substantive doctrine. Section 1331 appears on the JS-44 civil cover sheet only — for procedural compliance with the clerk's office. It does not appear in the bill as a basis for jurisdiction. Equity jurisdiction exists independently of statute; citing § 1331 in the bill is the same category error as citing any other statutory grant: it treats description as source.

**Tennessee Chancery — The Classical Forum.** Tennessee maintains a separate chancery court system never merged with the law side. Gibson's *Suits in Chancery* governs directly. The chancery court's equity jurisdiction is inherent — derived through North Carolina from the High Court of Chancery in England. Gibson § 23. The following statutes and constitutional provision describe and confirm that inherent jurisdiction; they do not confer it:

- Tenn. Code Ann. § 16–11–101 — general equity jurisdiction in chancery
- Tenn. Code Ann. § 16–11–103 — chancery jurisdiction over trusts, accounting, and equitable cognizance
- Tenn. Const. art. VI, § 8 — chancery courts as part of the constitutional judiciary

Verify with the specific chancery court in the county where the res is held or the recipient does business.

**Rule — Do Not Hybridize.** These statutory and constitutional citations are for the practitioner's orientation only. They do not appear in the bill itself. The bill invokes chancery's inherent equity jurisdiction directly — citing the treatise masters (Gibson, Pomeroy) for the substantive doctrine. To cite Tennessee Code as the basis for chancery jurisdiction is the same category error as citing § 1331 in federal court: it treats description as source. Statutes describe equity; they do not confer it.

*See Structural Rule 1 — Do Not Hybridize — at the top of this document.*

**Citizenship and Diversity — embedded reference for the diversity averment alternative.**

**Trust Citizenship for Diversity Purposes.** A trust is treated as an unincorporated association for diversity jurisdiction. Its citizenship is determined by reference to the citizenship of its trustees at

the time of filing. Where a trustee is a citizen of a different state than an opposing party, diversity jurisdiction under 28 U.S.C. § 1332 may exist.

**Complete Diversity Required.** Federal diversity jurisdiction requires complete diversity: no plaintiff may share citizenship with any defendant at the time of filing. If a plaintiff and any defendant are citizens of the same state, the federal court lacks diversity jurisdiction over that plaintiff's claims against that defendant.

**Supplemental Jurisdiction (28 U.S.C. § 1367).** Where a federal court has original jurisdiction over some claims, it may exercise supplemental jurisdiction over related claims that form part of the same case or controversy, even if those related claims would not independently support federal jurisdiction.

**Application to the Bill in Equity.** The primary posture in this manual is *ex parte* equity — no respondent named, trustee vacant — and that posture does not depend on diversity. Diversity becomes relevant only where the Petitioner names an adverse party (e.g., a respondent trustee who has refused but not disclaimed) and seeks to invoke federal jurisdiction on that basis instead of inherent equity jurisdiction. The diversity averment is an alternative path, not the primary route.

**Erie Doctrine — Substantive State Law in Diversity.** When a federal court sits in diversity, it applies the substantive law of the state in which it sits. *Erie Railroad Co. v. Tompkins*, 304 U.S. 64 (1938). For a trust dispute in federal court turning on state-law trust principles, the applicable state law governs. For a trust dispute arising under federal law (federal securities law, federal benefits, federal tax obligations), federal substantive law governs.

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## 24. The Miscellaneous Filing

When filing a Bill in Equity seeking only non-monetary relief, the correct designation in federal court is a *Miscellaneous Civil Action* — not a standard civil complaint.

**Why the Miscellaneous Designation.** The trustee is vacant. No respondent, no adversary, no one to serve. The bill proceeds *ex parte* on the petition of the beneficiary alone. The absence of a respondent is what makes it miscellaneous — not the amount in controversy.

**Why Inherent Equity Jurisdiction — Not Diversity.** Diversity jurisdiction under § 1332 requires adverse parties of different citizenship. This petition has no respondent. The court's equity jurisdiction is inherent in the judicial function under Article III, Section 2 — not derived from any statute. Filing on the cover sheet under § 1331 satisfies the clerk's procedural requirement; it does not describe the actual basis of the court's power.

**Why Code 890.** The JS-44 has no equity or trust code. Code 890 — Other Statutory Actions — is the residual bucket for miscellaneous matters that do not fit any enumerated category. It is the only code that does not presuppose a statutory cause of action the Petitioner is not bringing.

### What the Petitioner Selects on the Cover Sheet

- **Basis of Jurisdiction** — *Inherent Equity Jurisdiction* (Article III, Section 2 — equity jurisdiction exists independently of statute; § 1331 appears for procedural compliance only)
- **Nature of Suit** — *890 Other Statutory Actions*
- **Clerk-form description** — “Bill in Equity for private trust administration”
- **Do not** select Diversity; do not attach a jury demand

### The Caption Format

**IN THE UNITED STATES DISTRICT COURT FOR THE [DISTRICT]  
DISTRICT OF [STATE]**

**[PETITIONER NAME]**, Petitioner,

**Case No. [assigned by clerk] Misc. [docket number per local rules]**

**PETITION FOR PROTECTIVE ORDER IN EX PARTE APPLICATION FOR  
EQUITABLE RELIEF**

*Miscellaneous* appears on the civil cover sheet. The bill is styled as a Bill in Equity — consistent with Gibson’s classical form.

**The Defendant Field.** The JS-44 was designed for adversarial filings and has no field for “trust res.” Three approaches handle it: (1) Write “No Defendant — Ex Parte Miscellaneous Matter.” (2) Write “In Re: Private Express Trust” — identifies subject matter without naming an adversary. (3) Check the district’s local rules first for a miscellaneous-specific filing event that bypasses the standard form entirely. The field is clerical, not jurisdictional. Let the bill speak for itself.

**Filing Steps.**

- **At the clerk’s counter:** Bring the petition, JS-44, and the \$52 miscellaneous filing fee. Say: “I’m filing an ex parte Bill in Equity on the miscellaneous docket for a chambers setting under Special Term, as the trustee’s office is vacant. May I have the filing stamp?”
- **On CM/ECF:** Select Civil → Miscellaneous → Petition for Protective Order. The clerk-form description reads: “Bill in Equity for private trust administration.”

**Warning.** If you file as an ordinary damages complaint, you invite a jury demand and surrender the equity framing from the outset. Misrouting creates a docket error that will require correction. Careful routing at intake prevents delay and later correction.

**Holding the Line at the Clerk’s Counter.**

- “*You need to name a defendant.*” → “This is an ex parte petition in equity’s protective jurisdiction. No respondent is named because the trustee is vacant. The filing proceeds without service of process.”
- “*You have to file this as a civil complaint.*” → “The filing is a miscellaneous civil action, not a complaint. It seeks equitable relief only — no damages, no jury demand. It belongs on the miscellaneous docket under FRCP 77(b).”
- “*You need to pay the \$405 civil filing fee.*” → “The fee for a miscellaneous civil action is \$52. Please check the fee schedule for miscellaneous filings.”
- “*This has to be served on the defendant.*” → “No summons issues from this filing. The petition is ex parte. If the court orders any party noticed after entry, the court directs that — the Petitioner does not initiate service.”
- “*I’ve never seen one of these before.*” → “It’s a Bill in Equity on the miscellaneous docket — the court’s continuous equity jurisdiction. Your local rules cover miscellaneous civil actions. The judge’s chambers can confirm the routing if needed.”

If the clerk insists: “Please ask the supervising clerk or duty judge’s chambers for guidance before assignment. The petition is captioned as a miscellaneous equity matter; misrouting it to civil intake creates a docket error.” Then ask for the supervising clerk. If that fails, leave unfiled and call chambers.

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## **§ 24a. Sealed Chambers Intake, Article III Judge, No Magistrate Consent — Preemption at Filing**

Three procedural points must be raised at the clerk's counter at the moment of filing — before the stamp lands — so that the file is routed correctly from intake forward. Each preempts a routine federal-court reflex that, if left unchallenged, will defeat the equity posture.

### **1. Sealed Chambers Intake — Not for Public Docket / Not for PACER.**

A private equity matter at Special Term is not a public adversarial proceeding. Private decrees issue from chambers under seal in the Court's continuous equity jurisdiction (FRCP 77(b); former Federal Equity Rule 1). The petition is filed for chambers consideration and should not be entered on the public docket or populated to PACER until the Court directs otherwise.

State at intake: *"The petition is filed for chambers intake under seal. Private decrees issue from chambers in the Court's continuous equity jurisdiction at Special Term. Please route the file directly to the assigned judge's chambers and mark it Chambers — Sealed Pending Order. No public docket entry or PACER publication should issue until the Court directs."*

The clerk's reflex will be to log every filing on PACER. The Petitioner's intake declaration creates the routing override. Most districts have a sealed-equity routing procedure already in place; the clerk needs to know to invoke it.

### **2. Article III Judge — No Magistrate Consent under 28 U.S.C. § 636(c).**

Federal district courts routinely refer pro se filings to magistrate judges under standing orders for screening, report and recommendation, or — with party consent — final disposition. A magistrate is an Article I officer. The equity jurisdiction descended from the High Court of Chancery as it stood in 1789 is committed by Article III, Section 2 to the judicial power of the United States and cannot be exercised by an Article I officer to the same constitutional effect. *Northern Pipeline Construction Co. v. Marathon Pipe Line Co.*, 458 U.S. 50, 76–87 (1982) (plurality); *Stern v. Marshall*, 564 U.S. 462, 482–503 (2011).

State at intake: *"The petition is directed to an Article III judge of this Court. Petitioner expressly does not consent to magistrate jurisdiction under 28 U.S.C. § 636(c). Please mark the file 'Article III — No Magistrate Consent.' Any standing-order referral for screening should be noted for the assigned Article III judge's chambers rather than executed by a magistrate."*

The intake declaration plus a paragraph in the cover letter to chambers preempts the automatic referral. The chambers cover letter must also carry the no-consent paragraph — the file mark alone is procedural; the chambers paragraph is substantive.

### **3. Special Term Forum — Chambers Session, Not General Term.**

State on the face of the petition and in the chambers cover letter that the matter is filed for Special Term in chambers, not General Term on the open-court calendar. The historical chambers practice preserved through Federal Equity Rule 1 (1912) and absorbed into FRCP 77(b) is the textual hook. The setting is by leave of the chancellor, not by motion calendar.

### **The Three Intake Marks on the File.**

After the petition is stamped, the file should carry three procedural marks:

- **Chambers — Sealed Pending Order**
- **Article III — No Magistrate Consent**



- **Special Term Requested**

These three marks travel with the file from intake through assignment through chambers correspondence. They are the procedural floor of every v12 filing.

**Cover Letter Reinforcement.** The chambers cover letter (§ 25) must carry three matching paragraphs — sealed-chambers intake, Article III/no-magistrate consent (with *Northern Pipeline* and *Stern* citations), and Special Term forum. The cover letter is where the constitutional and procedural authorities are stated; the intake declaration is where the routing is established. Both are required.

**If the Clerk Resists.**

- “*All filings go on PACER.*” → “Sealed equity matters at Special Term are an exception. Please check the district’s sealed-equity routing procedure or ask the supervising clerk.”
- “*Pro se filings are screened by a magistrate.*” → “Petitioner does not consent to magistrate jurisdiction under § 636(c). Please mark the file accordingly; the assigned Article III judge can rule on any referral.”
- “*Standing order requires magistrate referral.*” → “A standing order cannot override a party’s withholding of § 636(c) consent for substantive disposition. Please log the no-consent designation and route to the assigned Article III judge’s chambers.”

If the clerk still refuses, ask for the supervising clerk and repeat. If that fails, leave unfiled and call chambers directly.

**Why Both the Sealing and the Article III Demand Matter Together.** A sealed file routed through a magistrate’s chambers defeats the posture as surely as a public-docket entry. The two preemptions work as a pair: sealing protects the privacy of the chambers proceeding; the Article III demand ensures the chambers proceeding is heard by the constitutional officer to whom the equity power belongs.

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## **25. Getting Before the Chancellor — Chambers Practice and Special Term**

An ex parte equity petition does not need an open-court trial setting. It needs a chancellor — sitting in chambers, exercising the court’s continuous equity jurisdiction, ruling on the papers.

**What “Special Term” Means.** A court of equity operates in two postures:

- **General Term** — the open-court session for contested adversarial matters: trials on the merits, motions in opposed cases, set hearings with both sides present.
- **Special Term** — the chambers session where the court acts on matters that do not require adversarial proceedings: protective orders, ex parte applications, references to a master, administration of trusts and fiduciary matters, and any act the court is empowered to do without notice and hearing. The court is “always open” for these purposes — FRCP 77(b) and former Federal Equity Rule 1 both preserve this.

**The Five Categories That Belong at Special Term.**

- Ex parte applications — the paradigm case
- Trust administration in the trustee’s vacancy — appointment of successors, references to master, protective orders
- Protective orders preserving the res — FRCP 65 operates here
- Accounts, inquiries, and references to master — FRCP 53 governs the mechanics

- Orders of course and interlocutory procedural orders — entered on petition, without adversarial presentation

**Why This Lane.** The trustee is vacant — no party to notice, no adversarial process to run. The relief is preservative and addressed to the res, in equity’s protective jurisdiction. Equity is continuously open — the trust cannot wait six months for an open-court calendar.

### **The Unbroken Chain of Authority.**

- New York 1830 statutes — first American use of “Special Term” nomenclature
- New York 1846 Constitution — preserved General Term / Special Term nomenclature as the bridge from chancery into the merged court
- Federal Equity Rule 1 (1912) — “*District Court Always Open For Certain Purposes — Orders at Chambers*” — explicitly codified the chambers practice
- 28 U.S.C. § 452 — “All courts of the United States shall be deemed always open for the purpose of filing proper papers, issuing and returning process, and making motions and orders”
- FRCP 77(a) and (b) — absorbs Equity Rule 1; § 77(b) authorizes “any other act or proceeding” in chambers and expressly carves out ex parte hearings
- *Grupo Mexicano*, 527 U.S. 308 (1999) — reaffirms that federal courts sit in equity with the same powers the High Court of Chancery exercised in 1789

### **Federal Authority — FRCP 77(b)**

**“Any other act or proceeding may be done or conducted by a judge in chambers, without the attendance of the clerk or other court official, and anywhere inside or outside the district. But no hearing — other than one ex parte — may be conducted outside the district unless all the affected parties consent.”** — Fed. R. Civ. P. 77(b)

The “other than one ex parte” qualifier is the operative phrase: ex parte chambers proceedings are expressly contemplated.

**Tennessee Chancery.** Tennessee chancery never merged with the law side. Gibson treats the chancellor’s availability as continuous. Tenn. R. Civ. P. 65.03 governs ex parte protective and temporary restraining orders and is the modern textual hook for the chambers practice.

### **How to Actually Get In.** Three instruments filed together:

- **The petition itself** — the verified Bill in Equity, filed as a miscellaneous civil action
- **A Petition to Chambers** — one page, directed to the assigned judge’s chambers, citing FRCP 77(b), requesting chambers consideration ex parte
- **A cover letter to chambers** — addressed to the judge’s chambers (not the clerk’s office), identifying the petition, the procedural posture, and respectfully requesting prompt attention

### **Model Language for the Petition to Chambers**

TO THE HONORABLE [JUDGE NAME], in chambers:

Petitioner, by this petition filed with the Court’s miscellaneous equity petition of even date, respectfully requests that the petition be considered and ruled upon in chambers under the Court’s continuous equity jurisdiction.

This request is made pursuant to:

1. Federal Rule of Civil Procedure 77(b), which preserves the Court's authority to conduct any act or proceeding in chambers, expressly including ex parte hearings;
2. The Court's inherent equitable jurisdiction to act protectively upon a trust res where the trustee's office is vacant, under the maxim that equity will not suffer a trust to fail for want of a trustee (Pomeroy, *Equity Jurisprudence* § 1086; Gibson, *Suits in Chancery* § 5954);
3. The historical chambers practice of chancery courts, preserved continuously from the Chancery Procedure Act 1852 through Federal Equity Rule 1 (1912) into the modern Federal Rules.

No respondent has been named; no service of process issues. The relief sought is preservative and addressed to the trust res in equity's protective jurisdiction.

**Sealed Chambers Intake — Not for Public Docket.** This petition is filed for chambers consideration at Special Term under seal. Private decrees issue from chambers in the Court's continuous equity jurisdiction and are not adversarial public proceedings. Petitioner respectfully requests that the matter remain sealed pending the Court's order, and that no public docket entry or PACER publication issue until the Court directs otherwise.

**Article III Judge — No Magistrate Consent.** The equity jurisdiction invoked by this petition is descended from the High Court of Chancery as it stood in 1789 and is committed by Article III, Section 2 of the Constitution to the judicial power of the United States. Petitioner expressly does not consent to magistrate jurisdiction under 28 U.S.C. § 636(c) and respectfully declines any referral of this matter to a magistrate judge for any purpose, including screening, report and recommendation, or final disposition. *Northern Pipeline Construction Co. v. Marathon Pipe Line Co.*, 458 U.S. 50 (1982); *Stern v. Marshall*, 564 U.S. 462 (2011). Petitioner respectfully requests that this petition be heard and ruled upon by Your Honor as an Article III judge of this Court.

Petitioner stands ready to appear in chambers at the Court's convenience. The trust res remains without protection pending the Court's order.

Respectfully submitted, [Petitioner Name, signature, address, date]

**Routing Detail.** The petition is filed through CM/ECF or at the clerk's counter. After the case number and judge assignment appear on PACER, address the chambers cover letter to the assigned judge by name and send it directly to chambers. In Tennessee chancery, hand-deliver or mail to chambers after filing with the clerk.

#### **What Chambers Practice Looks Like.**

- *Direct ruling on the papers* — the chancellor reviews the petition and cover letter, finds protective relief warranted, and enters an order without further hearing. The most direct outcome.
- *Brief chambers hearing* — the chancellor sets a short ex parte appearance. The Petitioner appears, presents the record, answers questions, and the chancellor rules.

**Presenting the Record.** The Petitioner does not argue a contested case in chambers. The Petitioner presents a record — and the chancellor inspects it. The question is not who wins a

dispute, but whether the record demonstrates a valid trust relation, a vacant trustee, and a res that requires protective intervention.

At the chambers setting, bring everything physical: the instrument copy, registered-mail receipts, return receipts, the three notices, and the non-response verified statement. Narrate the timeline — delivery, acceptance, declaration, return, notice sequence, silence. Offer the exhibits. Answer questions directly. Know the prayer cold: “Your Honor, what relief may the Court enter on this record?”

**Chambers practice is by leave, not by right.** The petition and cover letter request — not demand — chambers consideration. The chancellor’s discretion governs the remedy, not the trust. Once the four factual elements are established, the trust relation follows as a conclusion of equity. The chancellor cannot decline relief on the record. Gibson §§ 770–776 (jurisdiction of the chancellor at chambers), 5954 (court’s power to appoint and remove trustees); Pomeroy §§ 1086–1087.

**When a Respondent Appears — Chambers Practice Ends.** Once a respondent files an appearance in the proceeding, the ex parte chambers posture terminates. All subsequent filings must be served on the respondent or respondent’s counsel per FRCP 5(a). Chambers submissions become adversary filings; the practitioner no longer communicates ex parte with the court. The transition from ex parte to adversary is immediate upon the respondent’s appearance — do not file any further chambers-only submissions after that point without leave of court.

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## § 25b. Chambers Governed by the Maxims of Equity — The Operating Rules of Special Term

**The Governing Rule.** The chambers proceeding under FRCP 77(b) is not governed by the law-side rules of construction. It is governed by the maxims of equity. The chancellor sitting at Special Term acts on conscience, not on the procedural reflexes of an adversarial trial court. The maxims are the operating rules of the chambers session; the Federal Rules of Civil Procedure provide the procedural shell within which those maxims operate, not a substantive override.

Gibson, *Suits in Chancery* §§ 31–64, sets the maxims out in three articles: maxims and principles of jurisdiction (§§ 31–40); maxims and principles of adjudication, the “Twelve Tables of Equity” (§§ 41–60); and maxims applicable to the court, its practice, and pleadings (§§ 61–64). The petitioner names the governing rule at the opening of the chambers appearance and the chancellor confirms it on the record. The decree that follows is justified by the pleadings and constrained by the maxims.

### Standing Request at Chambers Opening.

*“Your Honor, the petitioner respectfully invokes the maxims of equity as the operating rules of this Special Term proceeding. The chamber is not an adversarial forum; the Court acts on conscience and the record. Petitioner respectfully asks the Court to apply Gibson’s maxims of jurisdiction, adjudication, and practice as the governing rules, and to enter such order as those maxims and the record support.”*

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## Article I — Maxims and Principles of Jurisdiction (Gibson §§ 31–40)

1. **§ 32 — Equity acts upon the person.** *Æquitas agit in personam.* The chancellor’s decree binds the conscience of the party. The party’s own act, or refusal to act, is what equity reaches.

2. **§ 33 — Equity will not suffer a wrong without a remedy.** Where the right is recognized, the remedy follows. Inadequacy of the law-side remedy invokes equity's protective jurisdiction.
  3. **§ 34 — Equity acts specifically, and not by way of compensation.** The decree compels performance of the duty, not its monetary substitute. Damages are a law-side remedy; specific equitable performance is the chancellor's instrument.
  4. **§ 35 — When parties are disabled to act, Chancery will act for them.** Where the trustee is vacant or disabled, the chancellor fills the office. *Equity will not suffer a trust to fail for want of a trustee.* Pomeroy § 1086; Gibson § 5954.
  5. **§ 36 — When Chancery has jurisdiction for one purpose, it will take jurisdiction for all purposes.** Once equity is properly invoked, it does complete justice in the matter — it does not leave fragments for the law side to resolve.
  6. **§ 37 — Chancery never loses its jurisdiction by implication.** Equity jurisdiction, once attached, is not displaced by silence, by the parties' inaction, or by the existence of overlapping law-side remedies.
  7. **§ 38 — Equity delights to do complete justice, and not by halves.** Partial relief is not equity's mode. The chancellor reaches all aspects of the matter that the conscience and the record require.
  8. **§ 39 — He who seeks equity must do equity.** The petitioner asking the chancellor to act must himself stand in equitable posture — performance, good faith, clean hands.
  9. **§ 40 — Courts of equity will not tolerate any interference with their officers, process, or decrees, by the courts of law.** The chancery decree is supreme within its sphere; the law side does not collaterally attack it.
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## Article II — The Twelve Tables of Equity (Gibson §§ 41–60) — Maxims of Adjudication

1. **§ 41/§ 32 — Equity acts upon the person,** forcing him to do what conscience requires.
2. **§ 33 — Equity will not suffer a wrong without a remedy.**
3. **§ 44 — Equity imputes an intention to fulfill an obligation.** Where the conscience is charged, equity presumes the party intends to perform — and where he does not, equity compels.
4. **§ 34 — Equity acts specifically, and not by way of compensation.**
5. **§ 45 — Equity regards that as done which ought to be done.** The trustee's duty is treated as performed for purposes of the beneficiary's equitable interest; non-performance does not defeat the relation.
6. **§ 39 — He who seeks equity must do equity.**
7. **§ 57 — Equity regards the beneficiary as the real owner.** *Cestui que trust* holds the equitable title; the trustee holds the legal title in service of the beneficiary.
8. **§ 38 — Equity delights to do complete justice, and not by halves.**
9. **§ 35 — Equity acts for those disabled to act for themselves.**
10. **§ 43 — Equity looks to the intent rather than to the form.** Conduct, conscience, and the substance of the relation govern; labels and forms do not.
11. **§ 47 — Equity delights in equality.** Among parties similarly situated, equity treats alike.
12. **§ 42 / § 49 — Equity requires diligence, clean hands, and good faith.** The petitioner must have come into the conscience of the court with no unconscientious conduct touching the matter at hand.

Additional adjudication maxims from §§ 46, 48, 50–56, 58–60 carry forward as adjuncts:

- **§ 46 — No person bound to act for another in any matter can, as to that matter, act for himself.** The fiduciary's self-dealing is null.
- **§ 48 — Equity will undo what fraud has done.**

- **§ 49 — Equity aids the vigilant, not those who sleep upon their rights.** Laches is the discipline.
  - **§ 50 — So use your own as not to injure another.**
  - **§ 51 — No one can take advantage of his own wrong.**
  - **§ 52 — Where one of two innocent parties must suffer a loss, he should suffer whose act or neglect occasioned the loss.**
  - **§ 53 — Equity follows the law** where the rule of law is clear and the chancellor's intervention is not required to correct an inequitable result.
  - **§ 54 — Where there is equal equity, the law must prevail.**
  - **§ 55 — Where there are equal equities, the first in order of time shall prevail.**
  - **§ 56 — To protect and enforce rights to property is the object of suits in chancery.**
  - **§ 58 — Equity enforces what good reason and good conscience require.**
  - **§ 59 — No one should be condemned without a chance to be heard.** *Audi alteram partem* — but the ex parte chambers proceeding addresses a vacant trustee, not a party entitled to be heard; the maxim attaches when a respondent appears.
  - **§ 60 — *Stare decisis et non quieta movere.*** Adhere to settled decisions; do not disturb settled questions.
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### **Article III — Maxims Applicable to the Court, its Practice, and its Pleadings (Gibson §§ 61–63)**

#### **§ 61 — Maxims applicable to the court and its orders.**

1. *Actus curiae neminem gravabit.* An act of the Court injures no one. Where the Court's own act has delayed or impaired a decree, the Court corrects it — *nunc pro tunc* if necessary.
2. *Actus judiciarius coram non iudice irritus habetur.* A judicial act outside the judge's authority is null and void. A magistrate's act outside § 636 consent in an Article III equity matter is voidable for this reason.
3. *Consensus facit legem.* Consent makes law — between parties under no disability, in violation of no law. Counsel cannot consent on behalf of the petitioner to magistrate jurisdiction the petitioner has expressly declined.
4. *Cursus curiae est lex curiae.* The practice of the Court is the law of the Court. The chancery practice, preserved through Federal Equity Rule 1 into FRCP 77(b), governs the chambers session.
5. *Fieri non debet, factum valet.* What ought not to have been done is, when done, valid until duly reversed. Decrees stand until reversed; the petitioner does not litigate by collateral attack.
6. *Omnia praesumuntur rite et solenniter esse acta.* All things done by the Court are presumed rightly done. The presumption attaches to the chancellor's act; counsel's recharacterization does not displace it.
7. *Qui jussu judicis aliquid fecerit non videtur dolo malo fecisse, quia parere necesse est.* He who acts on the Court's command is not deemed to act in bad faith. The successor trustee, the receiver, the special master are protected when acting on the chancellor's order.

#### **§ 62 — Maxims applicable to the practice of the Court.**

1. *De non apparentibus et non existentibus eadem est ratio.* What does not appear in the record, and what does not exist in fact, are one and the same in law. The chancellor cannot act on what is not in the record. The petitioner's exhibits are the record.
2. *In iudicio non creditur nisi juratis.* In a judicial proceeding, nothing is believed unless proved upon oath. The verified bill, the verified non-response statement, and the accounting upon oath satisfy this rule.

3. *Melior est conditio defendantis*. The burden of proof is on the complainant; the defendant need not move until a prima facie case is made. In the ex parte posture there is no defendant — the burden is satisfied by the verified record.
4. *Omnis innovatio plus novitate perturbat quam utilitate prodest*. Every innovation disturbs more by its novelty than benefits by its utility. The classical chancery form is preserved.
5. *Qui facit per alium facit per se*. He who acts by another acts himself. The trustee's act through a servicer is the trustee's act; the custodial chain does not insulate.
6. *Quilibet potest renunciare juri pro se introducto*. Any one may waive a law made for his benefit — but the petitioner who declines § 636(c) consent has not waived; the no-consent is on the record.
7. *Qui sentit commodum, sentire debet et onus*. He who enjoys the benefit must bear the burden. The trustee who has retained the *res* and derived benefit bears the duty to account.
8. *Ubi lex aliquem cogit ostendere causam, necesse est quod causa sit justa et legitima*. Where a party is required to show cause, the cause must be just and legal. The respondent who appears must show good cause grounded in the bill as pleaded.

### § 63 — Maxims applicable to pleadings.

1. *Allegans contraria non est audiendus*. He who alleges contraries will not be heard. Counsel cannot in one breath deny the trust relation and in the next concede receipt of the *res*.
2. *Allegari non debuit quod probatum non relevat*. That ought not be alleged which, if proved, would not be relevant. Surplusage is stricken; the bill keeps to the conduct elements.
3. *Benigne facienda sunt interpretationes chartarum, ut res magis valeat quam pereat*. Written instruments are liberally construed so that they may stand rather than fall. The bill is read in equity's favor; ambiguity is resolved in favor of the equitable claim.
4. *Falsa demonstratio non nocet*. A false description does no harm, where the instrument is otherwise sufficient. Idem sonans and clerical misnomer do not defeat the bill.
5. *Utile per inutile non vitiatur*. The useful is not vitiated by the useless. Surplusage is ignored.

### § 64 — Other Maxims and Principles (Gibson § 64)

Gibson § 64 enumerates additional maxims used at chambers as ancillary guides. The most operative for v12 practice:

- *Æquitas est correctio legis generaliter latae qua parte deficit*. Equity is the correction of that part of the general law where it falls short.
- *Æquitas sequitur legem*. Equity follows the law — but only so far as the law goes; where it stops, equity proceeds.
- *Aliquis non debet esse judex in propria causa*. No one ought to be a judge in his own cause. The trustee cannot answer his own accounting; the chancellor or the successor trustee renders it upon oath.
- *Audi alteram partem*. Hear the other side — applicable when a respondent has appeared; not applicable to an ex parte chambers proceeding addressing a vacant trustee.
- *Conscience is the foundation of equity*. Gibson §§ 4–5, 8. The conscience is charged by conduct, not by agreement.
- *Equity follows the res into its proceeds*. Pomeroy § 1053. Equitable tracing applies through any change in form.
- *Nemo dat quod non habet*. No one gives what he does not have. The trustee who never disclaimed cannot pass clear title.
- *Vigilantibus, non dormientibus, æquitas subvenit*. Equity aids the vigilant, not those who sleep upon their rights. The three-notice sequence and the continuing-fiduciary tolling satisfy this rule.

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**Operating Rule of Chambers Practice.** The chancellor at Special Term applies these maxims as the rules of decision. Counsel for any respondent who appears must engage the bill within these maxims, not import law-side reflexes. The petitioner, in any subsequent submission, may cite to a maxim by Gibson section number — “*Your Honor, Gibson § 38 (equity delights to do complete justice and not by halves) requires...*” — and the chancellor recognizes it. The maxims are the chambers’ *lex curiæ*.

**Pleading Discipline Note.** Per the petitioner’s standing rule, the bill itself does not plead the maxims as causes of action. The bill pleads the four conduct elements; the prayer prays the equitable acts. The maxims are the chancellor’s tools, invoked at the bench, not pleaded as counts.

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## § 25a. Filing the Trust Indenture in Chambers — By Leave, Under Seal

**When the Indenture Is Relevant.** The trust indenture is the private governance instrument — the rules document that governs how the trustee administers the trust relation. It becomes relevant in chambers when:

- The chancellor orders the trustee to comply with specific fiduciary standards and the indenture defines those standards
- The Petitioner seeks an order directing the trustee to perform specific acts enumerated in the indenture
- An accounting by a master or special master must be evaluated against the indenture’s terms
- Appointment of a successor trustee requires reference to the indenture’s succession provisions

**Procedure.** The indenture is not filed as a public exhibit. It is presented to the chancellor by leave — pursuant to the court’s equitable jurisdiction over trust administration and the chancellor’s authority to inspect private fiduciary instruments in connection with the court’s supervisory function.

The Petitioner files a sealed, chambers-only copy of the indenture with the clerk under separate cover, marked: “*Sealed — For Chambers Review Only — Not for Public Docket.*” Alternatively, the Petitioner presents the indenture directly to chambers at the ex parte appearance if the chancellor calls for it.

**No Filing Fee for Chambers Instruments.** A chambers submission under FRCP 77(b) is not a public filing — no filing fee applies. The sealed indenture is a chambers document, not a civil action.

**Rule:** The indenture goes in chambers, under seal, by leave. It never appears on the public docket as a filed exhibit to the Bill in Equity.

### In-Chambers Ex Parte Petition — Embedded Template.

**IN THE UNITED STATES DISTRICT COURT FOR THE [DISTRICT]  
DISTRICT OF [STATE]**

**[PETITIONER NAME],** *Petitioner,*

1. — [no respondent named in protective jurisdiction]



**Case No. [assigned by clerk] Misc. [docket number per local rules]**

**PETITION FOR CHAMBERS INSPECTION OF SEALED TRUST  
INDENTURE**

**JURISDICTIONAL STATEMENT**

This Court has jurisdiction pursuant to Article III, § 2 of the United States Constitution and the Court’s inherent equitable jurisdiction over trust administration. This is an ex parte application in the protective jurisdiction of equity; no respondent is named because the trustee’s office is vacant in fact. The trust, the proofs, and the exhibits belong to the Petitioner. The chancellor examines what the record shows. This petition is brought under Fed. R. Civ. P. 77(b), which preserves the Court’s authority to conduct any act or proceeding in chambers, expressly including ex parte hearings.

**STATEMENT OF FACTS**

1. Petitioner is the beneficiary of the express trust described in the Bill in Equity of even date.
2. The trust indenture — the private governance instrument that defines the fiduciary standards and the procedural mechanics of inspection, accounting, settlement, and closure — is held privately by the Petitioner and has not been placed on the public docket.
3. The indenture is relevant to the Court’s review of the trustee’s administration and to the Court’s consideration of [the specific equitable relief being sought from chambers].

**PRAYER FOR RELIEF**

WHEREFORE, Petitioner respectfully prays that this Honorable Court receive the trust indenture in chambers, under seal, for in-camera inspection pursuant to FRCP 77(b) and the Court’s inherent supervisory jurisdiction over trust administration, and that the indenture not be placed on the public docket.

Respectfully submitted, [Petitioner Name, signature, address, date]

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## **The One Question — Do You See the Trust?**

Everything in this manual — the acceptance, the declaration, the special deposit, the three notices, the exhibits, the timeline, the bill — converges on a single question the Petitioner places before the chancellor:

**Your Honor — do you see the trust?**

Not: “Will you create a trust?” Not: “Do you agree with my theory?” The trust is not the chancellor’s to create. The Petitioner declared it. The res was delivered. The trustee was appointed by conduct — receipt and retention without disclaimer. The four duties were stated. The beneficiary was named. The three notices were sent. The silence was recorded. The trust exists because the facts exist.

The chancellor’s office is to *see* it. Gibson § 4: equity acts upon the conscience of the party. When the Petitioner presents the record, the chancellor examines whether the facts are present. If

they are, the trust relation follows as a conclusion of law and equity — not as a favor, not as a discretionary act, but as a recognition of what the facts have already established.

The court does not create the trust. The court sees what the Petitioner has already created and exercises its protective jurisdiction accordingly.

**The question is the entire purpose of the chambers presentation.** The Petitioner goes to place a record before the chancellor and ask: here is the res, here is the trustee, here is the declaration, here is the silence — do you see the trust? If the chancellor sees it, the remedies follow. Protective order. Accounting. Successor trustee. Decree of settlement. Not because the Petitioner persuaded the court to create something new — but because the Petitioner showed the court what already exists and asked the court to act on what conscience requires.

Every checklist item, every registered-mail receipt, every return receipt, every notice, every silence — all of it exists so that when the chancellor inspects the record, the answer to the question is inescapable.

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## 26. The Bill in Equity — Structure and Substance

**Trust-by-Conduct Self-Audit — Before You File.** In your Facts section, you must see:

- (1) A definite res delivered with date and registered-mail tracking number
- (2) Retention without disclaimer for a stated period
- (3) The exact language of declared purposes — inspection, accounting, settlement, closure
- (4) The named beneficiary and why that person holds the equitable interest

If any one of these is missing, do not file. Complete the record first.

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### 26a. The Equity Jurisdiction Reservation — Describing, Not Conferring

Equity jurisdiction is inherent, not statutory. The court's equitable power springs from the judicial function itself — the conscience of the court, the nature of the judicial office under Article III. Statutes describe what equity already does; they do not confer what equity did not already have. Gibson § 23: *"This original jurisdiction, thus derived... is called the inherent jurisdiction of the Court, to contradistinguish it from the statutory jurisdiction."*

To cite a statute as the basis for equity jurisdiction is a category error. The practitioner cites statutes for procedural compliance — the JS-44 cover sheet, the filing fee code — and cites treatise authority (Gibson, Pomeroy) for the substantive equitable doctrine. FRCP rules mechanize equity; they do not replace it.

**The reservation clause** belongs in the Nature of the Proceeding paragraph, after the invocation of the court's protective jurisdiction:

*Nothing in this Bill seeks any remedy at law, statutory penalty, or money damages. All relief is equitable in character and arises from the inherent jurisdiction of a court of equity. The court's equitable power is not derived from statute — statutes describe this jurisdiction, they do not confer it.*

This clause does two things: it closes the door on any implied law-side reading of the bill, and it signals to the chancellor that the Petitioner understands the distinction between inherent and statutory jurisdiction.

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## § 26b. Conflict-of-Variance Notice — When the Law Side Recasts the Bill

**What the Conflict-of-Variance Is.** A respondent, a state court, or a law-side actor may recast the equity bill as a contract claim, a consumer debt matter, a fraud claim at law, or a damages action — recharacterizing the trust relation and the four duties as if they were conventional legal claims. This is the Conflict-of-Variance.

The Petitioner files a Notice of Variance in response. The notice does not argue the merits — it asserts that the recasting is factually false and points the court back to the bill’s actual averments. Equity proceeds on the record as filed; the decree is justified by the pleadings. Gibson §§ 5954, 8783; Van Zile § 441; Drewry, *Equity Pleading*.

### The Two-Part Notice Structure

1. **Recitation of the bill’s actual averments** — the Petitioner restates verbatim what the bill actually alleges: the four trust-by-conduct elements, the three-notice sequence, the silence, the equitable remedies sought. This is the factual record the bill created.
2. **Identification of the variance** — the Petitioner names the specific mischaracterization and states, without extended argument, why the bill does not support it. The bill does not seek a contract remedy; it does not seek money damages; it does not invoke the law side. The bill seeks protective orders, accounting, and successor trustee in equity’s inherent jurisdiction.

### Model Notice of Variance

#### NOTICE OF VARIANCE

Comes now [Petitioner Name] and submits this Notice of Variance in response to [Respondent/Respondent-Court]’s characterization of the Bill in Equity as [recast characterization].

The Bill in Equity, as filed, does not assert [recast characterization]. The bill’s averments are:

1. [averment verbatim from bill]
2. [averment verbatim from bill]
3. [averment verbatim from bill]

The bill prays for [equitable relief prayed]. No remedy at law is sought. No jury demand is made. No respondent is named because the trustee is vacant in fact.

Equity proceeds on the record as filed. The decree is justified by the pleadings. Gibson, *Suits in Chancery* §§ 5954, 8783.

[Petitioner Name] [Date]

**When to Use.** File the Notice of Variance when: a state court signals it will treat the equity matter as a law action; a respondent files a motion characterizing the bill as a contract claim; a clerk’s office attempts to reclassify the filing as a civil complaint; any actor attempts to substitute the law-side characterization for the equity framing.

**Rule:** Do not argue the notice. State the record. Point to the actual averments. Let the chancellor see the variance.

— **Paired template (kingdom book)** — Paired with data/legal-treatises/conflict-of-variance-tn-federal.md. Use the variance-notice form from the conflict-of-variance treatise.

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## 27. Exhibit Discipline

The bill does not carry the trust indenture as a public exhibit. The trust relation is proved through the conduct: the instrument returned, the three notices sent, the silence recorded. The indenture — the private governance document — stays in chambers.

### Public exhibits to the Bill in Equity:

- **Exhibit A** — the trust endorsement instrument (acceptance, declaration, special deposit return, signed and dated)
- **Exhibit B** — registered mail receipts and return receipts confirming delivery of the instrument
- **Exhibit C** — Notice One and registered mail receipt
- **Exhibit D** — Notice Two and registered mail receipt
- **Exhibit E** — Notice Three and registered mail receipt
- **Exhibit F** — verified statement of non-response (if applicable)

### Chambers-only submission, not a public exhibit:

- The trust indenture — filed under seal, for chambers review, by leave, pursuant to FRCP 77(b)

Each exhibit is referenced by number in the Facts section. The chancellor reads facts and proof together.

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## PART V: DUTIES AND REMEDIES

### 28. The Four Duties — What Each One Generates

#### Duty of Inspection generates:

- Production of all documents, records, source instruments, and chain of title or assignment touching the res
- Verification upon oath that the records produced are complete and accurate
- Holding of the res segregated from other assets, dedicated to the declared purposes

#### Duty of Accounting generates:

- A formal equitable accounting of all transactions, credits, payments, charges, offsets, and adjustments from inception to the date of the accounting
- Rendering upon oath — the trustee's account is sworn, not self-serving
- Full disclosure of every profit, benefit, offset, and adjustment — a trustee may not profit secretly

#### Duty of Settlement / Reconciliation generates:

- Determination of the true balance between the parties
- Mutual accounting if both parties have dealt with the res

- Application of any credit, offset, or adjustment equity finds warranted
- An interlocutory decree of reconciliation — the chancellor’s order that the true state of the account is as the accounting shows

**Duty of Closure / Release** generates:

- Final settlement and discharge of the obligation as declared
- Removal of all collateral and encumbrances recorded against the res
- Execution and delivery of appropriate releases to the beneficiary
- A final decree of settlement — the chancellor’s order that the trust has been administered and the matter closed

**The Trust Cannot Fail.** If the trustee refuses, the court fills the vacancy. If the trustee is absent, the court appoints a successor. The four duties run on. Equity will not suffer a trust to fail for want of a trustee. Pomeroy § 1086; Gibson § 5954.

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## **§ 28a. Disgorgement of Securitization Proceeds — Constructive Trust Ex Maleficio and Equitable Tracing**

**The Claim.** Where the trustee has received, retained, or transferred proceeds from the res — or has received benefit from the res in any form — and has not accounted for those proceeds, the Petitioner prays for disgorgement: the trustee is ordered to surrender the profits derived from the res, and equity imposes a constructive trust upon those proceeds for the benefit of the beneficiary.

**Doctrinal Grounding.**

- *Constructive trust ex maleficio.* Where a party obtains or retains property through abuse of confidence — receipt with notice of the declared purpose, retention without disclaimer, use of the res for the trustee’s own benefit — equity imposes a constructive trust. The trustee holds the proceeds not as owner but as constructive trustee for the beneficiary. Pomeroy § 1053; *Beatty v. Guggenheim Mining Co.*, 225 N.Y. 380 (1919) (Cardozo, J.): “a constructive trust is imposed wherever one who acquires property through fraud, bad faith, abuse of confidence, or wrongdoing is compelled in equity to hold it as trustee for the benefit of another.”
- *Equitable tracing.* Equity follows the res into its proceeds. Where the original res has been transferred, sold, or converted, equity traces the proceeds and charges the conscience of the new holder who received with notice of the declared purpose. The thing impressed with equity does not lose its character by change of form. Pomeroy § 1053; Gibson §§ 451–453; *CIGNA Corp. v. Amara*, 563 U.S. 421, 442 (2011) (ERISA case — confirming constructive trust as equitable remedy where breach of fiduciary duty is established).

**Pleading the Disgorgement Prayer.** The prayer for disgorgement states what the Petitioner knows and what the Petitioner does not know:

- **What is known:** that the trustee received, held, used, transferred, or otherwise dealt with the res in a manner that generated proceeds, benefits, offsets, or profits unknown to the Petitioner
- **What is not known:** the specific amounts, accounts, or instruments by which those proceeds were held, transferred, or reinvested — because the trustee has not rendered the accounting equity demands

**Model Prayer Language — Disgorgement**

Petitioner prays that the Court impose a constructive trust ex maleficio upon all proceeds, profits, benefits, and offsets derived by [Respondent] from the res described in the Bill in Equity, and that [Respondent] be ordered to disgorge and surrender all such proceeds to the Petitioner or to a successor trustee appointed by this Court, for the benefit of the beneficiary named in the trust declaration.

Petitioner further prays that equity trace the res into any and all proceeds, reinvestments, or substituted assets now in [Respondent]’s exclusive possession or control, and that the Court order an accounting of all such proceeds from the date of delivery of the res to the date of this Bill.

**The Accounting Comes First.** Disgorgement is prayed after the accounting — because the Petitioner cannot state the specific amounts until the trustee has rendered the accounting. The prayer for disgorgement preserves the right to trace and surrender profits; the accounting establishes what those profits are. The sequence is: accounting → true balance → disgorgement of profits → constructive trust on proceeds.

**No Speculative Amounts.** Do not assert a specific dollar figure for disgorgement in the bill. State “receipts and proceeds unknown to the Petitioner in [Respondent]’s exclusive possession.” The equitable accounting establishes the amount. Asserting a specific figure without the accounting creates a pleading deficiency — equity does not permit a prayer for amounts not yet established by the equitable accounting.

**Securitization Tracing — The Specific Averment Path.** Where the res is an obligation that has been deposited into a pool, assigned a CUSIP, held by a trustee-custodian, and serviced through monthly remittances, the Petitioner pleads the tracing path with particularity sufficient to put the Respondent on notice of what must be produced. The averment is shaped to plead what the Petitioner knows from the public face of the matter and to identify what lies in the Respondent’s exclusive possession.

Petitioner is informed and believes, and on that basis avers, that the obligation captioned [X] was, on or about [date], deposited into pool [Y], assigned CUSIP [Z, or “presently unknown to Petitioner”], and that all receipts, remittances, servicer advances, insurance recoveries, swap proceeds, credit-enhancement payments, and other proceeds traceable to said deposit are presently held by [Respondent] or its affiliates in accounts unknown to the Petitioner and within the Respondent’s exclusive possession, custody, and control.

**Document-Possession Averment — Expanded for Securitization Matters.** The general document-possession averment of § 9 is sharpened in securitization cases to name the specific custodial documents the Respondent must produce. Without these, no accounting can be rendered:

- the pooling-and-servicing agreement
- the mortgage loan schedule or asset schedule
- trustee certifications of deposit
- monthly remittance reports and distribution statements
- swap-counterparty confirmations and credit-enhancement agreements
- servicer advance ledgers
- any insurance, guaranty, or credit-default recoveries received on account of the res

The averment closes: *“Each of the foregoing documents is in the exclusive possession of the Respondent or its affiliates and cannot be produced by the Petitioner.”*

**The Liu/Kokesh Discipline — Pleading the Disgorgement Prayer to Survive the Federal Limits.** Federal district courts increasingly apply the framework of *Liu v. SEC*, 591 U.S. 71 (2020), to all equitable disgorgement, and respondents will cite *Kokesh v. SEC*, 581 U.S. 455 (2017), to argue any disgorgement prayer is penal and time-barred. The pleading discipline preempts both attacks:

- **Net profits, not gross receipts.** *Liu* held that equitable disgorgement is limited to the wrongdoer’s net profits after deduction of legitimate expenses, returned to the victims of the wrong. Plead the prayer in that form: “Petitioner prays disgorgement of net profits wrongfully obtained by the Respondent, after deduction of legitimate expenses, to be returned to the Petitioner as the party harmed by the breach of trust.” Pleading “give back everything you received” invites the *Liu* motion to dismiss the prayer.
- **Restitutionary, not penal.** *Kokesh* held SEC disgorgement was penal for purposes of the five-year statute of limitations under 28 U.S.C. § 2462. Restitutionary disgorgement against a fiduciary — returning to the beneficiary what is rightfully hers under the trust relation — is not penal. Plead expressly: “The disgorgement here prayed is restitutionary, not penal — it returns to the beneficiary that which is held by the Respondent as constructive trustee for the beneficiary’s benefit.”
- **Continuing-fiduciary tolling.** Where the fiduciary relation is continuing and the trustee has not been discharged, the limitations period is tolled by the continuing duty to account and the continuing concealment of the proceeds. Plead: “The fiduciary relation here pleaded is continuing; the Respondent’s duty to account has not been discharged; the limitations period is tolled by the Respondent’s continuing concealment and continuing receipt of trust proceeds.”

**Why Both Cases Matter Even Outside the Federal-Securities Context.** *Liu* and *Kokesh* are SEC enforcement cases, but federal district courts apply their reasoning to equitable disgorgement generally because both opinions root their analysis in the historical scope of equity itself. Pleading the disgorgement prayer in *Liu/Kokesh*-compliant form is doctrinal hygiene — it places the prayer squarely within the equitable disgorgement the federal courts continue to recognize and forecloses the easy motion to strike.

**Doctrinal Anchor for the Restitutionary Frame.** Pomeroy §§ 1044–1058 (constructive trust *ex maleficio*); *Beatty v. Guggenheim Exploration Co.*, 225 N.Y. 380 (1919) (Cardozo, J.); *CIGNA Corp. v. Amara*, 563 U.S. 421 (2011) (equitable surcharge survives in trust-like fiduciary contexts); *Liu v. SEC*, 591 U.S. 71 (2020); *Kokesh v. SEC*, 581 U.S. 455 (2017); *Great-West Life & Annuity Ins. Co. v. Knudson*, 534 U.S. 204 (2002) (equitable restitution requires specific res traceable to the defendant’s possession — constructive trust over identified proceeds qualifies; general money judgment does not).

— **Paired template (kingdom book)** — Paired with `data/guides/bill-in-equity-accounting.md` § VIII (Cardozo/Beatty). Use the constructive-trust-ex-maleficio prayer language from the accounting treatise.

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## § 28b. Alternative Pleading — Vacancy and Breach in One Bill

**The Doctrine.** Vacancy and breach are not inconsistent theories — they reach the same constructive-trust, accounting, tracing, and disgorgement relief by different procedural routes. Under FRCP 8(d)(2)–(3), a party may state as many separate claims or alternative theories as the party has, regardless of consistency. The single bill in equity can plead both: vacancy as the path addressed to the res and the office, which does not depend on a named adversary, and breach as

the path addressed to the conscience of a named trustee, which carries the disgorgement and surcharge engines against named Respondents.

**Why Plead Both.** A single-theory bill is a single point of failure. If the Respondent appears and disclaims fiduciary status, a pure-breach bill loses its anchor; the vacancy count then carries the matter. If the Respondent appears and concedes the office but denies wrongdoing, a pure-vacancy bill cannot reach the disgorgement; the breach count then carries it. Pleading both preserves the chancellor’s full toolkit regardless of how the Respondent positions itself.

### The Structure.

- **Count I — Vacancy.** *“The office of trustee over the res described in this Bill is vacant — no person has lawfully accepted, qualified for, and continues to discharge the office of trustee. The Petitioner as Beneficiary prays the chancellor declare the office vacant, appoint a successor trustee, and order the successor to render the accounting, trace the proceeds, and impress a constructive trust upon them for the benefit of the Petitioner. The relief here prayed is addressed to the res and to the office, in the nature of equity’s protective jurisdiction over both, and does not depend upon the fault of any named Respondent.”*
- **Count II — Breach, in the Alternative.** *“If this Honorable Court should find that the Respondent stands in the office of trustee, then the Petitioner avers that the Respondent has committed the following breaches of the four fiduciary duties: [enumerate — failure to inspect, failure to account, failure to settle, failure to close]. The Petitioner prays removal of the Respondent from the office, surcharge for all losses caused by the breach, disgorgement of all net profits wrongfully obtained, and constructive trust ex maleficio over all proceeds traceable to the res, returned to the Petitioner.”*

**Both Counts Converge on the Same Prayer.** Whether the chancellor reaches the relief through Count I (vacancy → successor trustee → accounting → tracing → constructive trust) or Count II (breach → removal → surcharge → disgorgement → constructive trust), the *res* is impressed and the proceeds are returned. The alternative pleading guarantees the path; the prayer states the destination.

**Doctrinal Anchor.** Pomeroy § 1086 (equity will not suffer the trust to fail for want of a trustee); Gibson § 5954 (court’s power to appoint substitute trustees); FRCP 8(d)(2)–(3) (alternative and inconsistent pleading); Pomeroy § 1053 (constructive trust *ex maleficio* — available under either route).

**Drafting Note — Equity Diction Preserved.** Both counts are pleaded in equity diction. Neither count introduces a law-side cause of action, a jury demand, a statutory penalty, or money damages. The “Do Not Hybridize” rule at the head of this manual governs both counts.

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## 29. Equitable Remedies Only

The remedies in this framework are exclusively equitable. No law-side remedy is sought, prayed for, or implied.

- **Protective order** — directs the trustee to preserve the res, take no action to dissipate or encumber it, and hold it for the beneficiary’s account pending further order
- **Successor trustee** — appoints a new trustee in the vacancy; the successor steps into the office and assumes the four duties
- **Equitable accounting** — compels the trustee to render a full account upon oath of all transactions touching the res



- **Interlocutory decree of reconciliation** — the court’s determination of the true state of the account between the parties, upon the accounting
- **Final decree of settlement** — closes the matter; releases any collateral; discharges the obligation as declared
- **Constructive trust** — imposed on proceeds and profits derived from the res, held for the beneficiary
- **Disgorgement** — ordered surrender of profits derived from the res; equity’s surcharge upon the trustee who profited from breach

No money damages. No statutory penalty. No jury demand. No cause of action at law. The prayer stays in equity.

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### 30. Inadequacy of Remedy at Law

Equity takes jurisdiction because the remedies at law are inadequate. State this in the bill — the Petitioner cannot obtain the four declared duties through any legal proceeding:

- No law-side action compels a trustee to render an accounting upon oath
- No law-side action appoints a successor trustee in the vacancy
- No law-side action imposes a constructive trust or orders disgorgement of secret profits
- No law-side action closes the matter and issues releases

The inadequacy is not a technicality — it is a substantive statement of why equity, not law, is the proper forum. Gibson §§ 28–31, 5954; Pomeroy §§ 134, 155.

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### 31. Protective Order in the Trustee’s Vacancy

When the trustee is vacant — refusing, disclaiming, or absent — the res stands without protection. Equity acts. The Petitioner prays for and the chancellor enters a protective order:

- The res is identified and described with particularity
- The trustee’s office is declared vacant
- The res is placed under the court’s protective order — no transfer, no dissipation, no encumbrance
- A successor trustee is appointed to administer the four duties

The protective order is preservative — it impresses the res and the office, not the merits. It preserves the subject matter pending the accounting and the final decree.

#### Accounting in Equity — Embedded Prayer Language.

The equitable action for an accounting is available where there is a fiduciary relationship, or where the parties’ accounts are complicated and a full accounting is necessary to do justice. The chancellor may order an accounting even where legal remedies nominally exist, if the legal remedy is inadequate. Gibson §§ 994–997; Pomeroy § 1044; Story § 453.

Petitioner prays that this Honorable Court enter a protective order over the res described in the Bill in Equity, directing that the trustee preserve the res and take no action to transfer, dissipate, or encumber it pending further order of this Court; that the Court appoint a successor trustee pursuant to the maxim that equity will not suffer a trust to fail for want of a trustee (Pomeroy § 1086; Gibson § 5954); and that the Court order the trustee, or the successor trustee upon appointment, to render a full

equitable accounting upon oath of all transactions, credits, payments, charges, offsets, and adjustments touching the res from inception to the date of this order.

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## 32. The Tactical Architecture

**Why the Sequence Works.** Every document in the equity chain — instrument, acceptance, return, notices, silence — is a separate act of conscience recorded in writing. The chancellor inspects the record and sees a Petitioner who declared the trust correctly, called the trustee to perform three times, and received silence three times. The trust is complete. The trustee is in breach. The court acts.

**The Equity Posture Is Not Adversarial.** The ex parte petition names no respondent — the trustee is vacant in fact. There is no adversary to defeat. There is only a record to present and a chancellor to ask: do you see the trust?

**The Prayer Stays in Equity.** At every point — instrument, notices, bill, hearing — the Petitioner speaks in equity's voice. No hybrid claims, no law-side remedies, no damages. Equity does the work.

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## PART VI: EXCEPTION HANDLING

### 33. Refusal of Delivery

When the recipient refuses delivery, the refusal is not a defeat — it is a fact. The trust was declared on dispatch. The refusal is the recipient's affirmative act: they received notice of the declared purpose and chose not to accept custody of the res on the terms offered. Equity records the act.

**What to file.** The registered mail receipt showing refused delivery is Exhibit B. The refusal confirms: (1) the recipient received notice of the declared purpose; (2) the recipient chose not to perform; (3) the trust relation arose on dispatch and the refusal did not extinguish it. The trust record is complete.

**Effect of refusal.** The four duties run from the date of attempted delivery. The trustee's office is vacant — the refusal is the equivalent of a disclaimer in equity's record. The Petitioner proceeds to the three notices to the address used for delivery. Equity follows the res; refusal does not dissolve the trust.

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### 34. Why Disclaimer Is Still a Win

A written disclaimer is the trustee's way of saying "I decline this office." Equity respects it — a person cannot be compelled to serve as trustee against their will. Gibson § 5954; Pomeroy § 1086; Story, *Equity Jurisprudence* § 974.

But the disclaimer does not end the matter. Here is why:

**The Trust Survives the Disclaimer.** Equity will not suffer a trust to fail for want of a trustee. The moment the original trustee disclaims, the office is vacant — and the chancellor fills it by appointing a successor trustee. The trust continues. The duties continue. The res stays impressed. The beneficiary keeps the equitable title.

**The Disclaimer Creates a Record.** The written disclaimer proves the trust existed — the trustee admitted receipt and knowledge of the declared purpose by disclaiming rather than ignoring. A trustee who ignores the notices, rather than disclaiming in writing, is in a worse position before the chancellor than one who disclaims explicitly. The disclaimer is a lesser loss than silence.

**What to Do After a Disclaimer.** File the disclaimer as an exhibit. File a supplemental petition noting the disclaimer and requesting appointment of a successor trustee. Proceed as though the trustee had never responded — because the response was a disclaimer, not performance. The three notices still generated a record. The equity record is complete.

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## § 34a. Disclaim the Trust Three Ways — Written, Verbal, On-Record

**The Doctrine.** A person named or appointed as trustee may decline the office. Equity does not compel involuntary trusteeship. Gibson § 5954; Pomeroy § 1086; Story, *Equity Jurisprudence* § 974. The disclaimer is the trustee's refusal to accept the fiduciary office. Three forms of disclaimer exist in equity practice.

**When This Section Applies.** This section addresses the Petitioner's defensive posture — when the Petitioner is being enrolled into an unfavorable trust or fiduciary role by a court, officer, or entity attempting to impose trustee status upon them (e.g., criminal arraignment where the officer seeks acknowledgment of a bonded debt, plea colloquy where the court treats the defendant as a trust beneficiary bound by court rules, administrative proceeding attempting to impose fiduciary obligations). The Petitioner may decline the office by disclaimer.

This is **not** a magic incantation. The disclaimer has no operative force if the Petitioner has already accepted consideration, acknowledged the relation, or proceeded as trustee — equity looks to conduct, not words. The disclaimer is a refusal before acceptance, not a revocation after performance.

### Three Forms of Disclaimer:

1. **Written Disclaimer.** The Petitioner delivers a written instrument stating: *"I have received notice of [the described matter] and I hereby disclaim any appointment as trustee, any acceptance of fiduciary status, and any assumption of the duties of inspection, accounting, settlement, and closure with respect to the res described therein. I do not accept the trust office and I do not assume any obligation in connection with the matter described."* Signed, dated, delivered by registered mail. File the receipt.
2. **Verbal Disclaimer.** At an in-person proceeding or appearance where the Petitioner is asked to acknowledge trustee status or fiduciary obligation: *"I decline the appointment. I am not acting as trustee and I do not accept any fiduciary obligation in connection with this matter."* Speak clearly. State the refusal plainly. No elaboration, no argument. The verbal disclaimer is documented by the record of the proceeding.
3. **On-Record Disclaimer.** In any written submission to a court or tribunal where the Petitioner is being treated as a trustee or fiduciary: include the clause *"Petitioner disclaims any appointment as trustee, any acceptance of fiduciary status, and any assumption of the duties of inspection, accounting, settlement, and closure with respect to this matter. No equitable relation is admitted."* File the submission and retain the receipt or docket entry.

**What the Disclaimer Does Not Do.** The disclaimer does not void an already-accepted trust. It does not discharge an obligation the Petitioner has already acknowledged. It does not bind the other party or the court — the other party may proceed regardless. The disclaimer simply creates a record: the Petitioner did not accept the trust office.

**Tested-equity alternative to any magic script:** The § 14 acceptance/declaration instrument creates the trust relation by the Petitioner's own act — the Petitioner's conduct, not any magic words, establishes or declines fiduciary status. Equity looks to what was done, not what was said.

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## § 34b. Misnomer, Idem Sonans, and the Name-Change Predicate

**The Doctrine.** A plea in abatement for misnomer lies where a proceeding is captioned with a name that does not accurately identify the party — a variance between the caption and the record. The doctrine of *idem sonans* provides that names sounding the same are treated as the same person unless rebutted by a certified court record establishing a different identity. Where the Petitioner holds a court-issued name-change decree, the caption of a proceeding using the prior name creates a misnomer — the caption identifies a stranger to the record.

**The Predicate.** This section requires a specific predicate: a court-issued name-change decree, entered in the public record, predating the caption being challenged. Without this predicate, the section does not apply.

**When the Predicate Exists.** The Petitioner obtained a court-issued name-change decree (e.g., *VICTOR CHAOS* → *Victor Chaos*) recorded in the public record. A subsequent proceeding captioned *VICTOR CHAOS* is now misnamed — the caption identifies the prior-name entity, not the person the decree recognizes.

### The Operative Mechanism — The Achilles Heel of the Docketing System.

The federal court electronic docketing system (CM/ECF) and substantially every state court equivalent are architecturally constrained: case captions are rendered in ALL CAPS by the software. This is a system-design constraint, not a judicial choice. The court cannot output a caption in mixed case even where a party's name, as recognized by a court-issued decree, exists in mixed case.

This creates the operative variance:

- The decree recognizes *Victor Chaos* (mixed case) as the person's lawful name on the public record
- The docketing software can only produce *VICTOR CHAOS* (all caps) for any caption it generates
- Every caption the system produces is, by mechanical necessity, the misnamed entity — not the person the decree recognizes
- The court has no remedy for this because the software cannot render the corrected name; the variance is permanent and uncorrectable at the system level

**Why This Has Bite.** The plea in abatement is mechanically un rebuttable. The court cannot correct the caption because the infrastructure does not allow it. Equity proceeds on the record as filed; the record permanently bears the variance the decree predicates. The Petitioner is not making an exotic doctrinal argument — the Petitioner is pointing to a defect the system itself produces and cannot cure. This is why the move works: it is not a doctrinal stretch, it is an exploitation of a system constraint the court has no power to fix.

### The Procedure.

1. **File a Notice of Misnomer.** The Petitioner files a standalone procedural motion captioned with the correct name (the name the decree recognizes), stating: "*A court-issued name-change decree was entered on [Date] in [Court], case no. [Number], changing Petitioner's name from [prior name] to [current name]. The above-captioned proceeding uses the prior*

*name. Petitioner appears specially to note the misnomer and moves to amend the caption to reflect the name recognized by the decree.” Attach the decree as Exhibit A.*

2. **The Verbal Sequence.** At an in-person proceeding where the caption is being used: “*My name as recognized by the court-issued decree entered [date] in [court] is [current name]. The caption produced by this Court’s docketing system does not render that name. Show me where my name is in this proceeding.*” The verbal sequence operates as the spoken layer atop the filed Notice — the Petitioner is directing the officer to the public record and to the system’s own constraint.
3. **Why the Verbal Sequence Alone Is Always Fringe.** Saying “show me where my name is” with no filed decree behind you is not a plea of misnomer — it is a person creating a delay. The decree is the predicate; the system constraint is the mechanism. Without the decree, there is no variance to point to.

**Idem Sonans Limitation.** Where no court-issued decree exists, idem sonans treats names sounding the same as the same person — and the caption will stand. The misnomer defense requires the decree as the predicate. The system constraint, by itself, charges no party with anything; it is the predicate decree that converts the system’s rendering limitation into a recordable variance.

**What the Decree Must Contain.** The decree must: (1) be court-issued — not a self-prepared document, not a notary certificate, not a self-declaration; (2) state the prior name and the new name with specificity, in the case forms the decree intends; (3) be recorded in the public record (court docket, county recorder, or equivalent); (4) predate the caption being challenged.

**Subject Matter vs. State Action.** State action analysis is different from subject-matter jurisdiction. The framework is useful here for a different reason: it explains why the docketing system’s rendering constraint is a fairly attributable governmental act. The caption is produced by the court’s own infrastructure under governmental authority — the variance is a state-produced record defect, not a private one. This places the defect squarely within the court’s domain and within the framework of what the court’s own conduct produces and cannot cure.

**Practical Effect.** The Notice of Misnomer puts the Petitioner on the record as the person the decree recognizes and the system, by its architecture, cannot render. The variance is permanent; the court has no curative mechanism. The Petitioner is not requesting that the court do something the court can do — the Petitioner is documenting that the court has produced and continues to produce a caption that does not identify the person the decree recognizes. The record bears that variance for the duration of the proceeding.

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## 35. When the Trustee Goes Vacant — The Primary Mechanism

**What Makes the Trustee Vacant.** The trustee is vacant when: the trustee has refused delivery of the res; the trustee has disclaimed the trust in writing; the trustee has been absent and non-responsive through the three-notice sequence; a court has removed the trustee for breach of duty. Gibson § 5954; Pomeroy § 1086.

**What Happens When the Trustee Is Vacant.** Equity will not suffer the trust to fail. The chancellor, upon the Petitioner’s bill, appoints a successor trustee — the court steps into the vacancy and fills it. The successor trustee assumes the four duties: inspection, accounting, settlement, and closure. The trust continues.

**The Petitioner’s Prayer.** In the bill, the Petitioner names the vacant trustee for record identification and states: “*The office of trustee is vacant in fact; no successor trustee has been*

*appointed; equity will not suffer the trust to fail for want of a trustee; Petitioner prays for appointment of a successor trustee to discharge the four fiduciary duties of inspection, accounting, settlement, and closure.”*

**Successor Trustee Powers.** The successor trustee has all the powers of the original trustee — the court appoints the full office, not a limited agent. The four duties run to the successor from the date of appointment. The res remains impressed. The beneficiary retains equitable title.

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## **§ 35a. When the Court Itself Becomes the Vacant Trustee — Court Accounting**

**The Doctrine.** Where a court or its clerk holds funds, property, or obligations in a fiduciary capacity — registry funds, bail, bonds, fines, fees, costs, forfeiture proceeds, or other fiduciary receipts — the court stands in the position of a trustee. Equity’s jurisdiction over trust administration extends to the court’s own fiduciary receipts. The court as fiduciary is subject to the same four duties: inspection, accounting, settlement, and closure. Pomeroy § 1080; Gibson §§ 5954, 8783.

**When This Applies.** The Petitioner has an equitable interest touching court-held funds: bail posted and not applied, fines paid and not credited, fees collected and not applied, forfeiture funds held, registry interest earned on deposited funds. The court holds these as fiduciary — and the Petitioner is the beneficiary of that fiduciary relation.

**The Bill in Equity for Court Accounting.** The bill is directed to the court as the fiduciary holding the funds. The caption names the court; the nature of the proceeding is an accounting of fiduciary receipts; the prayer seeks:

Petitioner prays that this Court, sitting as a court of equity, render a full accounting of all fiduciary receipts held by the Court in connection with [the matter described], and that the Court apply such receipts to the purposes declared in the trust relation, discharge any obligation found to exist, and issue appropriate releases.

**The Court as Fiduciary.** The bill does not challenge the court’s jurisdiction — it invokes the court’s equitable jurisdiction over its own fiduciary administration. The court sitting in equity has the power to account for its own registry, to apply fiduciary receipts to their proper purposes, and to issue releases upon settlement. This is the court’s inherent supervisory authority over trust administration — applied to the court’s own fiduciary position.

**Grounding.** Pomeroy § 1080 (court’s equitable jurisdiction over fiduciary receipts); Gibson § 5954 (court’s power to administer trusts and appoint fiduciaries); `data/legal-treatises/court_accounting_victor_chaos.txt`.

— **Paired template (kingdom book)** — Paired with `data/legal-treatises/court_accounting_victor_chaos.txt`. Use the court-registry accounting prayer from the court accounting treatise.

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## PART VII: REFERENCE

### 36. Event Timeline

| Event                                            | Date   | Document                        | Tracking # |
|--------------------------------------------------|--------|---------------------------------|------------|
| Instrument received                              | [Date] | Pristine copy filed             | —          |
| Acceptance and declaration written on instrument | [Date] | Original returned; copy kept    | —          |
| PTLN assigned                                    | [Date] | —                               | —          |
| Instrument returned by registered mail           | [Date] | Return receipt / return receipt | [Tracking] |
| Registered agent copy sent                       | [Date] | Return receipt                  | [Tracking] |
| Notice One sent                                  | [Date] | Registered mail                 | [Tracking] |
| Notice Two sent                                  | [Date] | Registered mail                 | [Tracking] |
| Notice Three sent                                | [Date] | Registered mail                 | [Tracking] |
| Bill in Equity filed                             | [Date] | —                               | —          |
| Accounting decree entered                        | [Date] | Order                           | —          |
| Tracing / constructive trust decree              | [Date] | Order                           | —          |
| Disgorgement decree                              | [Date] | Order                           | —          |
| Post-decree enforcement motions (if needed)      | [Date] | Motions                         | —          |

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#### § 36a. Coercive Enforcement of the Decree — Sequestration, Receiver, Contempt, *Ne Exeat*

**The Posture.** The accounting decree is entered. The chancellor has impressed the constructive trust upon the traced proceeds. The Respondent has been ordered to disgorge net profits and surrender the *res* in its present form. The decree is on the docket — and the Respondent

stonewalls, dissipates, or removes itself from the jurisdiction. Equity is not toothless. Four coercive instruments enforce the decree.

**1. Civil Contempt — The Engine.** Once the chancellor enters a decree compelling accounting, tracing, surrender, or disgorgement and the Respondent fails to comply, civil contempt is the standard enforcement path. Civil contempt is coercive and purgeable — the Respondent holds the keys to its own cell by complying with the underlying decree. *Shillitani v. United States*, 384 U.S. 364 (1966) (drawing the coercive-civil / punitive-criminal line). The Petitioner moves for an order to show cause why the Respondent should not be held in contempt; the chancellor enters the conditional sanction (fine per day, or coercive confinement); compliance purges.

Petitioner moves this Honorable Court for an order requiring the Respondent to show cause why the Respondent should not be adjudged in civil contempt of this Court's decree entered [date], and for such coercive sanctions, fines, or other coercive relief as may be necessary to enforce compliance with said decree.

**2. Sequestration of Respondent's Assets — Preserving the Decree's Subject Matter.** Classical chancery sequestered the property of a contumacious party until the party complied with the decree. The federal courts retain this power. FRCP 70(a) authorizes the court to direct that the act be done by another or to enter judgment divesting and vesting title; the inherent equity power preserved by *Grupo Mexicano de Desarrollo, S.A. v. Alliance Bond Fund, Inc.*, 527 U.S. 308 (1999), permits asset preservation incident to traditional equity relief — and sequestration *in aid of an existing equitable decree* fits squarely within preserved chancery practice. Sequestration prevents the Respondent from dissipating the res or the traced proceeds while the contempt machinery turns.

Petitioner prays that this Court order sequestration of [identified assets / accounts / instruments traceable to the res] pending the Respondent's compliance with this Court's accounting and disgorgement decree, that a custodian be appointed to hold said sequestered property, and that no transfer, encumbrance, or dissipation of said property occur pending further order.

**3. Equitable Receiver — Administering the Constructive Trust.** Where the constructive trust has been impressed and the Respondent cannot or will not administer the *res* faithfully, the chancellor appoints an equitable receiver under FRCP 66 to take possession, marshal the proceeds, and administer the trust during the collection phase. *Gordon v. Washington*, 295 U.S. 30 (1935) (federal court's power to appoint a receiver in equity is coextensive with its jurisdiction over the property). The receiver is an officer of the court, accountable directly to the chancellor.

Petitioner prays that this Court appoint an equitable receiver under Rule 66 of the Federal Rules of Civil Procedure to take possession of, marshal, account for, and administer the res described in this Bill and all proceeds traceable thereto, and to act under the direction of this Court until the constructive trust impressed by this Court's decree has been fully discharged in favor of the beneficiary.

**4. *Ne Exeat Republica* — The Writ Against Flight.** Where the fiduciary is an individual who threatens to remove himself and the *res* (or the proceeds) from the court's jurisdiction, the writ of *ne exeat republica* prohibits departure pending compliance with the decree or pending the posting of security. The All Writs Act, 28 U.S.C. § 1651(a), supplies the procedural vehicle; the writ itself is preserved equity jurisdiction descended from the High Court of Chancery. Federal courts have used it sparingly and require concrete flight indicia — but where the facts support it, the writ is available.

Petitioner prays that this Court issue a writ of *ne exeat republica* restraining the Respondent [name] from departing the territorial jurisdiction of this Court pending



compliance with the accounting and disgorgement decree entered [date], or pending the posting of security in such amount as the Court may direct, the Respondent having demonstrated [enumerate flight indicia — concealment of assets, transfers of property abroad, statements of intent to depart, prior absconding].

**Sequencing the Four Instruments.** The instruments are not alternatives — they layer:

- **Contempt** is the engine that coerces compliance.
- **Sequestration** preserves the subject matter while the contempt machinery turns, so the *res* remains within the chancellor’s protective reach when compliance comes (or when the chancellor orders the act done by another under FRCP 70(a)).
- **Receivership** is the long-form administration of the impressed *res* — appointed when the Respondent cannot be trusted to administer the constructive trust faithfully.
- **Ne exeat** is the personal restraint against an individual flight risk.

The Petitioner’s enforcement motion may pray any combination as the facts require. The chancellor calibrates.

**Doctrinal Anchor.** *Shillitani v. United States*, 384 U.S. 364 (1966) (civil contempt distinction); FRCP 70(a) (court-ordered performance and divestiture); *Grupo Mexicano de Desarrollo, S.A. v. Alliance Bond Fund, Inc.*, 527 U.S. 308 (1999) (preserved equity powers); FRCP 66 (receivers); *Gordon v. Washington*, 295 U.S. 30 (1935) (receiver in equity); 28 U.S.C. § 1651(a) (All Writs Act); Pomeroy § 1086 (equity’s coercive arm in aid of its decrees); Gibson §§ 8783, 5954 (court’s power to enforce its decrees by all proper means).

**No Hybridization.** All four instruments are coercive equity in aid of an equity decree. None converts the proceeding into a law-side action; none imports money damages or jury demand. The “Do Not Hybridize” rule at the head of this manual governs every post-decree motion under this section.

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## 37. Silence and the Duty to Speak

The three-notice sequence operates on a single principle: the trustee who receives notice of a declared purpose and chooses silence has made a choice. Equity records that choice.

- Silence after Notice One: first mark of non-performance
- Silence after Notice Two: second mark of non-performance
- Silence after Notice Three: equity record complete; the bill follows

*“He who is silent when he ought to speak will not be heard when he ought to remain silent.”*  
Gibson, *Suits in Chancery* § 67.

The Petitioner who sends the three notices and receives silence has done everything equity requires before the court. The record is complete. The chancellor sees it.

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## 38. Local Checklist

Before filing, confirm:

- [ ] Instrument received and photocopied — pristine copy in file
- [ ] All exhibits redacted for PII — dates of birth, SSNs, account numbers, and financial data removed per FRCP 5.2 before filing
- [ ] Acceptance and declaration written on original — verbatim clause, signed, dated

- [ ] PTLN assigned and annotated on all documents
  - [ ] Envelope marked *SPECIAL PRIVATE PRIORITY*
  - [ ] Registered mail + return receipt at USPS
  - [ ] Return receipts returned and filed
  - [ ] Notice One sent — registered mail, receipt filed
  - [ ] Notice Two sent — registered mail, receipt filed
  - [ ] Notice Three sent — registered mail, receipt filed
  - [ ] Bill in Equity drafted — verified, exhibits attached
  - [ ] JS-44 cover sheet prepared — code 890, no defendant, no jury demand
  - [ ] Petition to Chambers drafted
  - [ ] Chambers cover letter drafted
  - [ ] Trust indenture prepared — sealed, for chambers only
  - [ ] **Notice of Variance template prepared** — § 26b model on the desk, ready to deploy if any respondent, clerk, or court recasts the bill as a contract/debt/damages action
  - [ ] Post-decree: enforcement motion shells prepared (contempt, sequestration, receiver, ne exeat — as applicable)
- 

### 39. Worked Example — From Instrument to Chambers Order

**The Instrument.** Credit card statement from Bank received January 3. Account ending in 4829. Balance: \$14,327.14.

**Day 1 — Accept and Declare.** January 4. Photocopy the pristine statement. Write the acceptance on the original:

“I accept as Grantee and return delivery same subject matter on special deposit as Grantor/Settlor, for the express purposes of inspection, accounting, settlement, closure, and release of all collateral and encumbrances, for the benefit of [Your Full Legal Name].”

By: [Your Full Legal Name], Grantee, Grantor/Settlor. Without Prejudice — All Rights Reserved.

Assign PTLN: PTLN-2026-0104-NAME-01. Seal in *SPECIAL PRIVATE PRIORITY* envelope. Mail Priority + Registered + Return Receipt.

**Day 2 — Delivery Confirmed.** January 6. Return receipt returned. File it. Notice the registered mail number. The trust relation is formed. The four duties have begun.

**Day 14 — Notice One.** January 18. Send by registered mail. Call for the four duties. Request full accounting upon oath. File the receipt.

**Day 42 — Notice Two.** February 1. No response to Notice One. Send Notice Two by registered mail. State the first silence. Call again. File the receipt.

**Day 70 — Notice Three.** March 1. No response to Notice Two. Send Notice Three by registered mail. State the two silences. Give the final opportunity. State that the bill follows. File the receipt.

**Day 84 — File the Bill.** March 15. The equity record is complete. Three notices, three silences, registered mail receipts for each. File the Bill in Equity as a miscellaneous civil action — no defendant, no jury demand, no damages. Attach the instrument as Exhibit A, the three return receipts as Exhibits B, C, D, and E, the three notices as Exhibits F, G, and H. File the petition to chambers and the chambers cover letter.

**Day 91 — Chambers Appearance.** March 22. Bring everything physical. The chancellor reviews the record. The question is asked: “Your Honor, do you see the trust?” The chancellor sees: instrument delivered, trust declared, res retained, three notices sent, three silences recorded. The trust is complete. The chancellor enters a protective order, appoints a successor trustee, and orders an accounting.

**Day 105 — Variance Defense Deployed (If Triggered).** April 5. If a respondent appears and files a motion characterizing the bill as a contract claim or consumer-debt action, or if the court signals it will treat the matter as a law action, the Petitioner files the Notice of Variance per § 26b that same week. The notice does not argue the merits. It recites the bill’s actual averments verbatim and identifies the specific mischaracterization. The chancellor sees the variance on the record and rules. The variance defense is not optional — it is the standing response to law-side recasting and must be filed promptly to preserve the equity posture.

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## § 39a. Worked Example — Criminal Citation Posture

**The Instrument.** A traffic citation or criminal summons received. The officer cited the driver’s name as it appears on the license. The Petitioner holds a court-issued name-change decree.

**Variance Check.** Before any appearance, the Petitioner reviews the caption on the citation against the name-change decree. If the caption uses the prior name and the decree predates the citation, the caption is misnamed. File a Notice of Misnomer with the court, attaching the decree as Exhibit A. The caption is corrected before any plea or appearance.

**At the Appearance.** If the misnomer has not been resolved by filing, and the court calls the prior name: *“Your Honor, a court-issued name-change decree was entered on [date] in [court], case no. [number], changing my name from [prior name] to [current name]. I appear as [current name].”* Hand the court a copy of the Notice of Misnomer and the decree.

**The Trust Relation on a Citation.** The citation is the res. The court is the holder. The four duties arise upon delivery of the citation to the driver. The Petitioner declares the trust on the citation instrument and returns it — or, where the citation is already in the court’s file, the Petitioner declares the trust by presenting a Bill in Equity for accounting of any fees, costs, bail, or fines held by the court in connection with the matter.

**What to File.** If the Petitioner has posted bail, paid fines, or otherwise transferred funds to the court’s registry in connection with the citation, and the funds have not been applied to the citation or returned, the Petitioner files a Bill in Equity for Court Accounting under § 35a — praying for an accounting of the fiduciary receipts and application of the funds to the proper purposes.

**Disclaimer of Trustee Office.** If any party attempts to enroll the Petitioner as a trustee of a court-imposed obligation — bonding requirement, restitution trust, supervised release conditions — the Petitioner files a written disclaimer per § 34a, stating the refusal of the fiduciary office before acceptance.

**No Fringe Scripts.** Do not use any verbal sequence that has no filed record behind it. The verbal layer always operates atop a filed notice, a filed motion, or a filed decree. The citation posture does not create equity from nothing — it applies the equity framework to an actual res held by a fiduciary (the court) and seeks an accounting.

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## 40. Primary Treatise Authority

- Gibson, *Suits in Chancery* (Tenn. 1977 ed.) — equity pleading and practice; trust administration; fiduciary duties; chambers jurisdiction; appointment and removal of trustees
- Pomeroy, *Equity Jurisprudence* (4th ed. 1918) — equity maxims; constructive trust ex maleficio (§ 1053); trust creation and declaration; equitable tracing; vacant trustee doctrine (§ 1086); equitable remedies
- Van Zile, *Equity Pleading and Practice* (1904) — bills for account; fiduciary relationships; parties to equity suits; prayer language; discovery as integral element
- Drewry, *Equity Pleading* (1858) — classical equity form; statement part and charging part; document-possession averment; bills for discovery
- Story, *Equity Jurisprudence* (13th ed. 1873) — deposit doctrine; fiduciary obligations; constructive trust doctrine
- Daniell's *Chancery Practice* — reservation of rights; chambers practice; ex parte proceedings

### Controlling SCOTUS:

- *Grupo Mexicano de Desarrollo, S.A. v. Alliance Bond Fund, Inc.*, 527 U.S. 308 (1999)
  - *Beacon Theatres, Inc. v. Westover*, 359 U.S. 500 (1959)
  - *Dairy Queen, Inc. v. Wood*, 369 U.S. 469 (1962)
  - *Princess Lida of Thurn and Taxis v. Thompson*, 305 U.S. 456 (1939)
  - *CIGNA Corp. v. Amara*, 563 U.S. 421 (2011)
  - *Beatty v. Guggenheim Exploration Co.*, 225 N.Y. 380 (1919) (Cardozo, J.) — constructive trust ex maleficio
  - *Liu v. SEC*, 591 U.S. 71 (2020) — disgorgement limited to net profits, returned to victims
  - *Kokesh v. SEC*, 581 U.S. 455 (2017) — disgorgement as penalty subject to five-year SOL
  - *Great-West Life & Annuity Ins. Co. v. Knudson*, 534 U.S. 204 (2002) — equitable restitution requires specific res, not general money judgment
  - *Shillitani v. United States*, 384 U.S. 364 (1966) — civil contempt is coercive, purgeable
  - *Gordon v. Washington*, 295 U.S. 30 (1935) — federal receiver in equity
- 

## 41. Glossary

**Acceptance as Grantee** — the Petitioner's acknowledgment of receipt of the instrument, accepting custody for the purpose of reconciliation.

**Beneficiary** — the person in whom equitable title vests by nature of the trust relation; holds equitable title while the trustee holds legal title.

**Bill in Equity** — the Petitioner's verified pleading filed in a court of equity, invoking the court's protective jurisdiction over the trust res.

**Chambers** — the private setting where the chancellor acts on ex parte equity matters without adversarial presentation; governed by FRCP 77(b).

**Constructive trust ex maleficio** — equity's remedy where a party has obtained or retained property through abuse of confidence; equity imposes a trust for the beneficiary's benefit.

**Disgorgement** — equity's order that the trustee surrender all profits derived from the res; the surcharge upon the trustee who profited from breach.

**Equity jurisdiction** — inherent in the judicial function under Article III, Section 2; not derived from statute; exists independently of any statutory grant.

**Equitable tracing** — equity's power to follow the res into its proceeds and charge the conscience of the new holder who received with notice of the declared purpose.

**Ex parte** — without notice to or participation by any adverse party; the paradigm posture for a trust administration petition where the trustee is vacant.

**Fiduciary relation** — the relation between trustee and beneficiary; defined by the four duties: inspection, accounting, settlement, and closure.

**Grantor/Settlor** — the Petitioner declaring the trust purpose and delivering the res on special deposit; creates the equitable relation by instrument.

**Inherent jurisdiction** — equity jurisdiction derived from the judicial function itself, not from any statute; described by statutes, not conferred by them.

**PTLN** — Private Trust Ledger Number; the identifying number assigned to each instrument at acceptance; the crosswalk between commercial account numbers and the equity ledger.

**Res** — the definite thing upon which equity acts; the specific instrument delivered, accepted, declared, and returned under the trust declaration.

**Special deposit** — deposit for a declared purpose; title stays with the depositor; the holder has custody only, not ownership; creates a trust relation.

**Special Term** — the chambers session of a court of equity; acts on matters that do not require adversarial presentation; governed by FRCP 77(b).

**Trust by conduct** — the trust relation arising not from a written instrument alone but from the facts of delivery, retention, declared purpose, and named beneficiary.

**Vacant trustee** — the trustee office is empty because the named trustee has refused, disclaimed, or been absent; equity fills the vacancy.

**Civil contempt** — the coercive enforcement of an equity decree; the Respondent holds the keys to the cell by complying; purgeable upon performance. *Shillitani v. United States*, 384 U.S. 364 (1966).

**Sequestration** — the court's seizure and preservation of assets traceable to the res, preventing dissipation during enforcement of the decree.

**Equitable receiver** — an officer of the court appointed under FRCP 66 to take possession of, marshal, and administer the res and its proceeds during the constructive-trust collection phase.

**Ne exeat republica** — the chancery writ restraining an individual fiduciary from departing the court's jurisdiction pending compliance with the decree; descended from the High Court of Chancery, procedural vehicle via the All Writs Act, 28 U.S.C. § 1651(a).

**Net-profits disgorgement** — equitable disgorgement limited to the wrongdoer's net profits after deduction of legitimate expenses, returned to the beneficiaries harmed; the form required by *Liu v. SEC*, 591 U.S. 71 (2020).

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# APPENDIX Z — FRINGE MATERIAL QUARANTINED

*Items in this appendix are not grounded in tested equity. They are presented here for reference — with the tested-equity alternative that achieves the same goal through doctrine. Do not use these in equity filings.*

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## **Z-1. PTLN as ritual/magic identifier.**

*What it says:* The PTLN number itself carries jurisdictional weight — that the act of assigning the number creates equity regardless of the surrounding conduct.

*Why flagged:* The PTLN is a crosswalk — it identifies the instrument in the equity ledger and breaks the link to the commercial account number. It does not create equity. Equity is created by the relation of conscience to fact: delivery, retention, declared purpose, named beneficiary, and the four duties. A number written on paper does not charge a conscience.

*Tested-equity alternative:* v10 § 12 Step 5 — the PTLN is assigned as a ledger crosswalk. The equity arises from the instrument, the acceptance, the return, and the notices. The number tracks the process; it does not generate the jurisdiction.

*Source:* Roark pt2, pt6

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## **Z-2. Accommodation-party theory / qualified-endorsement framework.**

*What it says:* A private citizen can become an accommodation party on a commercial instrument, sign in last-first-middle order, use grantee front / grantor/beneficiary special-deposit back, and retain all rights without becoming obligated.

*Why flagged:* UCC-3 endorsement rules govern negotiable instruments in commerce — not equity's trust relation. The framework conflates commercial law with equity doctrine. The accommodation-party doctrine is a commercial law doctrine, not an equity doctrine; it has no role in a Bill in Equity for trust administration.

*Tested-equity alternative:* v10 § 14 — the acceptance/declaration instrument (Grantee, Grantor/Settlor, special deposit) achieves the trust declaration without any UCC overlay. Equity's trust relation is created by conduct, not by endorsement placement.

*Source:* Roark pt4

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## **Z-3. \$1 stamp tender / folded-dollar-bill / silver-dollar tender as discharge.**

*What it says:* Tendering a \$1 revenue stamp, a folded dollar bill, or a silver dollar on an obligation discharges the debt because legal tender laws make the stamp/coin lawful money.

*Why flagged:* No UCC article, Federal Reserve regulation, or treatise authority supports discharge of a debt obligation by tender of a stamp, a folded bill, or a coin. Bouvier's 1856 and 1914 editions both treat tender as formal offer of money in satisfaction — but the six requisite formalities (capable party, proper sum, creditor, legal money, ability to perform, proper form) are not satisfied by a stamp or folded paper. This is pseudolegal tender folk-practice. Courts treat it as obstruction.

*Tested-equity alternative:* § 28a — equity’s remedy for non-performance is accounting and disgorgement, not personal discharge by tender. The Petitioner seeks the accounting and the constructive trust on proceeds, not the respondent’s purported acceptance of a stamp.

*Source: Roark pt3*

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#### **Z-4. Registered-mail-to-self / 3¢-stamp-self-cancellation account.**

*What it says:* Mailing a document to yourself with a 3¢ stamp and a self-cancellation mark opens a private equity account; the postmark creates a timestamped private record that functions as a financial instrument.

*Why flagged:* USPS does not create private financial instruments by accepting mail. A postmark is evidence of delivery timing — not a funding mechanism. No treatise authority grounds this as an equity creation event. The “account” has no basis in any recognized legal structure.

*Tested-equity alternative:* v10 § 13 Step 5 (PTLN crosswalk) + § 17 three-notice sequence (registered mail, return receipt) already creates the timestamped equity record. No registered-mail-to-self account is needed or recognized.

*Source: Roark pt5*

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#### **Z-5. DTC / CEDE & Co. / specific-dollar securities-account claims.**

*What it says:* The Petitioner holds a securities account at DTC/CEDE & Co. worth a specific dollar amount (e.g., \$2 million), and this account can be attached or accounted for in equity.

*Why flagged:* Specific account-existence claims and specific dollar amounts are not provable on the four corners of any equity pleading without documentation the Petitioner does not hold. Asserting a specific account balance in the bill without the supporting documentation creates a pleading deficiency. Courts treat this as a speculative claim.

*Tested-equity alternative:* § 28a — the disgorgement prayer uses “receipts and proceeds unknown to Petitioner in Respondent’s exclusive possession.” This preserves the right to trace without asserting a specific, unprovable amount.

*Source: Roark pt7*

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#### **Z-6. Name doctrine (LAST, FIRST MIDDLE; PAC status; BC registration as training).**

*What it says:* Capitalization of a name carries legal significance — the all-caps name is a corporation, the lowercase name is a natural person; PAC status gates access to certain legal mechanisms; birth certificate registration constitutes government training.

*Why flagged:* Equity acts on the conscience of the party, not on capitalization. Gibson § 4: equity acts upon the conscience of the party. The party’s conduct — delivery, retention, benefit, refusal to account — charges the conscience. How the party signs their name, whether in capitals or lowercase, has no bearing on whether the conscience is charged. This is sov-cit / private-American-citizen framework with no grounding in any treatise.

*Tested-equity alternative:* v10 § 6 — sign as your full legal name as it appears on the instrument. Equity proceeds on the record; the record uses the name as it appears on the instrument.

Source: Roark pt8

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### **Z-7. Treasury-call / adverse-attention narrative.**

*What it says:* If the Petitioner writes to the Treasury Department with a particular form of words, the Treasury will be compelled to take action, and this action will produce a specific outcome in the Petitioner's favor.

*Why flagged:* Anecdote, not doctrine. No treatise or controlling authority supports any specific Treasury-call sequence as predictive of outcomes. The outcome of any communication with a government agency depends on the agency's statutory authority and the facts presented — not on any particular form of words.

*Tested-equity alternative:* v10 § 17 three-notice sequence — the equity record is created by the Petitioner's own acts, not by any external party's action. The three notices call the trustee to perform; silence creates the admission; the bill follows.

Source: Roark pt8

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### **Z-8. "Equity takes jurisdiction for one purpose = all things."**

*What it says:* Once equity takes jurisdiction of a matter for any purpose, it has power to determine every part of the controversy — a broad, free-floating maxim that expands equity's reach without limit.

*Why flagged:* The actual maxim (Russell v. Todd; Story § 72) is narrower. Equity having taken jurisdiction "for one purpose" decides every part of *that controversy* — not every dispute the Petitioner has with the respondent. The transcript framing inflates scope and risks misapplication. The maxim does not create new jurisdiction; it prevents multiplicity of suits in matters already properly in equity.

*Tested-equity alternative:* v10 § 8 (Beacon Theatres) + § 11 (stage-one/stage-two distinction). Equity's jurisdiction is defined by the trust relation and the four duties — not by an expansion of the maxim beyond its proper scope.

Source: Roark pt1

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### **Z-9. Roark Lesson 9A — merger-of-titles extinguishes-debt-by-tender-of-lawful-consideration.**

*What it says:* When the Petitioner tenders lawful consideration in the form of a legal-tender instrument, title to the underlying obligation merges into the tender, and the debt is extinguished by operation of law.

*Why flagged:* The merger doctrine itself is real (Story § 1035 et seq.; treated in Roark pt5). The *tender-of-lawful-consideration trigger* is the fringe overlay. Merger of title applies when a debtor pays a creditor the full amount owed — the creditor's title merges into the payment, and the debt is extinguished. Tendering a stamp, a folded bill, or a coin is not payment of the amount owed; no merger occurs. The doctrine does not support discharge by non-cash tender.

*Tested-equity alternative:* § 28a disgorgement + § 7 special-deposit creates the equitable extinguishment posture without the tender-trigger claim. Equity proceeds on the accounting and the constructive trust — not on a tender that has no legal effect.



Source: Roark pt9

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#### **Z-10. “In camera demand” as right.**

*What it says:* The Petitioner has a right to demand in-camera inspection of documents, records, or proceedings — that the court must grant this demand upon request.

*Why flagged:* Chambers practice is by leave, not by right. FRCP 77(b) authorizes the chancellor to conduct proceedings in chambers; it does not create a demandable right in the petitioner to compel a particular in-camera proceeding. The chancellor’s discretion governs what is inspected, when, and how. Any transcript framing that treats in-camera access as a right goes here.

*Tested-equity alternative:* v10 § 25 — the Petitioner requests chambers consideration by petition; the chancellor grants or denies. The indenture is presented to chambers by leave (v10 § 25a). The Petitioner does not demand — the Petitioner requests.

Source: Roark pt9

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#### **Z-11. Three-prong bank challenge (name on account / exact amount / at-or-near closing time).**

*What it says:* In any dispute involving a bank account, the Petitioner may compel disclosure by asking three questions: (1) is my name on this account? (2) what is the exact amount? (3) is this transaction at or near closing time? — and these questions create a discovery obligation outside of any equitable proceeding.

*Why flagged:* Discovery is governed by the rules of the court in which the equity proceeding is pending. Asking questions of a bank outside of a court proceeding does not create a discovery obligation. The three-prong challenge has no grounding in any FRCP, any treatise, or any controlling authority. It is a discovery-proceeding script with no legal foundation.

*Tested-equity alternative:* § 28a equitable accounting + v10 § 9 document-possession averment. The bill calls for the accounting; the accounting includes all transactions touching the res. The court orders the accounting; the trustee produces. No extrajudicial challenge script is needed or recognized.

Source: Roark pt9

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#### **Z-12. JS-44 replacement / private accounting ledger as filing substitute.**

*What it says:* The Petitioner may substitute a private accounting ledger or a custom form for the JS-44 civil cover sheet at the clerk’s counter, and the clerk must accept it.

*Why flagged:* The JS-44 is a mandatory form for federal civil filings. The clerk’s office requires it for docket entry. A custom form or private ledger is not a substitute and will be rejected. Any framing that the private ledger replaces the cover sheet goes here.

*Tested-equity alternative:* v10 § 24 — the JS-44 is properly completed: code 890, no defendant, no jury demand, inherent equity jurisdiction. The clerk-form description reads “Bill in Equity for private trust administration.” The JS-44 is not the Petitioner’s theory — it is the clerk’s administrative form.

Source: Roark pt9

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## § 40. The Role Structure — Grantee, Grantor, Settlor, Trustee, Beneficiary

The Petitioner performs **three sequential acts** in the private equity sequence. Each act has a name, a doctrinal source, and a distinct function:

**Grantee** — the Petitioner receives the instrument and thereby holds the right to declare what happens to it next. Gibson, *Suits in Chancery* § 1.

**Grantor** — the Petitioner declares the trust purpose and names the beneficiary by instrument; the declaration creates the equitable relation. Pomeroy, *Equity Jurisprudence* §§ 1009–1012.

**Settlor** — the Petitioner delivers the res on special deposit, impressing the trust upon the corpus and funding the trust in the same act. Van Zile, *Equity Pleading* § 438; Story, *Equity Jurisprudence* § 964.

**Trustee** — the recipient who holds the res by retention without disclaimer; equity appoints the trustee by delivery, and retention without disavowal is the confirmation of the office. Pomeroy § 1086; Gibson § 5954.

**Beneficiary** — the one who holds equitable title by nature; the title arises from the trust relation itself, not from any grant by the trustee. Gibson § 994; Pomeroy § 1044.

**Grantee → Grantor → Settlor.** Three acts, one sentence, one instrument. The Petitioner accepts as Grantee, declares the trust as Grantor, and returns the res as Settlor — in that order, in a single acceptance and declaration. See § 14 Step Two.

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## § 41. Glossary

**Beneficiary / cestui que trust** — the one who holds *equitable title by nature*; the title arises from the trust relation itself, not from any grant by the trustee; the trustee holds legal title as fiduciary only. Gibson § 994; Pomeroy § 1044.

**Equitable accounting** — a judicial remedy: the chancellor, or a special master under FRCP 53, orders the fiduciary to render a full account upon oath, receives it, and verifies it against the documentary record. Distinguish from *accounting* — the trust duty the trustee owes, naming the obligation to keep records and render accounts. These are not the same function; equity names each distinctly. Gibson § 994; Story § 453.

**Equitable tracing** — the chancellor’s power to follow misapplied trust property into its proceeds and substitutes; the equitable counterpart to the legal remedy of conversion. Pomeroy §§ 1048–1052; Gibson § 5954.

**Grantee** — the one who receives the instrument; in the operation of this mechanism, you receive as Grantee and thereby hold the right to declare the trust and return the res. Gibson, *Suits in Chancery* § 1.

**Grantor** — the one who creates and declares the trust by instrument; the declaration names the purpose and the beneficiary and thereby creates the equitable relation. Pomeroy, *Equity Jurisprudence* §§ 1009–1012.

**Make oath** — the classical equity phrase for verification of a pleading; the Petitioner walks the court through the truth of the bill. Not “sworn” — equity avoids that ambiguity. Drewry, *Equity Pleading*; Van Zile, *Equity Pleading*.

**Miscellaneous docket** — the residual docket category for equity-only proceedings, ex parte petitions, and matters without an adverse party; the designation is not lesser — it is correct for the ex parte equity posture.

**Private Trust Ledger Number (PTLN)** — a unique identifier assigned at acceptance: *PTLN-YYYY-MMDD-XXXX-NN*. Annotates every document in the equity sequence — instrument, trust endorsement, return cover letter, three notices, accounting — establishing a crosswalk from the original instrument to every subsequent charge, credit, and adjustment. Victor Chaos, *The Equity Blade*.

**The Capture — PTLN as the sole identifier.** The moment the instrument is impressed with the trust declaration and PTLN, the trust property is identified by its ledger number — not by the commercial account number it happened to arrive on. The commercial account number lives in the facts section and exhibits for identification only. The prayer, the notices, the accounting, and every subsequent document reference only the PTLN. This is the capture: the commercial reference is subsumed into the trust identifier.

**Res** — the thing itself; the *specific documentary instrument* received from the recipient — not a class, not a general claim, but the precise corpus impressed with the trust. Pomeroy § 1009.

**Identified with particularity:** name of instrument, date, sender identity, recipient identity, account or reference number, copy preserved (pristine + endorsed), certified mail tracking number on return, date returned, exact language of special deposit declaration, exact relief requested. Gibson, *Suits in Chancery* §§ 295–297.

**Settlor** — the one who delivers the res on special deposit; by delivery, the Settlor impresses the trust upon the corpus and funds the trust in the same act. Van Zile, *Equity Pleading* § 438; Story, *Equity Jurisprudence* § 964.

**Special deposit** — a delivery or return of a definite thing for a declared purpose, where title and beneficial interest do not pass to the receiver, and where the receiver's possession is limited by the purpose declared. Misuse or commingling is breach of fiduciary duty. Gibson §§ 451–453; Story § 453; Van Zile § 439; Pomeroy § 1053.

**Special master** — a neutral officer appointed under FRCP 53 to conduct the equitable accounting, take evidence on disputed items, and report back to the chancellor; a *function*, not an office.

**Special Term** — the chambers session where the chancellor acts upon matters that do not require adversarial proceedings: ex parte applications, protective orders, trust administration; the court is continuously open for these purposes. Drewry, *Equity Pleading*; Federal Equity Rule 1 (1912); FRCP 77(b); 28 U.S.C. § 452.

**Stage One** — the phase before any court is involved; receives the instrument, declares the trust, returns the res by certified mail, sends the three notices. Gibson §§ 1–4; Pomeroy §§ 1009–1012.

**Stage Two** — the phase where the private equity record is filed as a Bill in Equity before a court of equity competent to act; invokes the court's conscience. Gibson §§ 28–31; FRCP 77(b); Article III.

**Successor trustee** — the fiduciary appointed by the chancellor under the maxim that equity will not suffer a trust to fail for want of a trustee; an *office*, not merely a function. Pomeroy § 1087; Gibson § 5954.

**Trust by conduct** — the trust relation arising from four factual elements: delivery of the res, retention without disclaimer, declared purposes, named beneficiary. Once these facts are pleaded and proved, the chancellor recognizes the trust relation. Pomeroy §§ 1086–1087; Gibson § 5954.

**Trustee (appointed by delivery)** — equity appoints the trustee by delivery of the res; one who holds the res without disavowal accepts the office; retention without disclaimer is the confirmation. Pomeroy § 1086; Gibson § 5954.

**Without Prejudice — All Rights Reserved** — the equity reservation written under the Petitioner’s signature. “Without Prejudice” preserves all equitable rights without admission or waiver; recognized in English chancery practice for centuries (Daniell’s *Chancery Practice*). “All Rights Reserved” creates a written record that no right was surrendered.

## KINGDOM BOOK CROSS-REFERENCE INDEX

| v11 Section                 | Source                                                           | What to Use                                                   |
|-----------------------------|------------------------------------------------------------------|---------------------------------------------------------------|
| § 6 Trust Anatomy           | data/legal-treatises/kingdom-vs-empire-vetted.md — Exhibit C     | Declaration of Trust template                                 |
| § 22 Federal Equity Doorway | kingdom book — Exhibit E, Exhibit M                              | Article III Judicial Power; Standing framing                  |
| § 23 Forum Selection        | kingdom book — Exhibit H, Exhibit L                              | Citizenship/ Diversity; Diversity Jurisdiction                |
| § 25a In-Chambers Indenture | kingdom book — In-Chambers Ex Parte Petition Template            | Caption and jurisdictional statement                          |
| § 26b Conflict-of-Variance  | data/legal-treatises/conflict-of-variance-tn-federal.md          | Variance-notice form                                          |
| § 28a Disgorgement          | data/guides/bill-in-equity-accounting.md § VIII (Cardozo/Beatty) | Constructive-trust-ex-maleficio prayer                        |
| § 31 Protective Order       | kingdom book — “Key Equity Principles” #5                        | Accounting-in-equity prayer language                          |
| § 34b Misnomer              | kingdom book — Exhibit A                                         | State Action / 14th Amendment; personal jurisdiction survives |
| § 35a Court Accounting      | data/legal-treatises/court_accounting_victor_chaos.txt           | Court-registry                                                |

**v11 Section    Source**

**What to Use**  
accounting  
prayer

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*Express-Oh! v11 — tested equity, fringe quarantined, kingdom book paired.*